

NIVESHAA

Daily Quiz Booklet

258 Questions Across the Full 50-Lesson Course

With Full Answer Key & Explanations

The same question bank the app draws its "Daily Quiz" and Leaderboard from — organised here lesson by lesson, with a complete answer key at the back so you can self-test before checking.

Part 1 — Questions

Answers and explanations are in Part 2, at the back of this booklet.

LESSON 1 — What is the Stock Market?

1. What does owning a share of a company represent?

- A) A loan you gave the company
- B) Partial ownership in the company
- C) A guaranteed dividend
- D) A government bond

2. Which two exchanges are India's main stock exchanges?

- A) NSE and BSE
- B) NYSE and NASDAQ
- C) SEBI and RBI
- D) Nifty and Sensex

3. Meera's grandmother's 1987 certificate was bought directly from the company when it first sold shares to the public. Which market did that purchase happen in?

- A) Primary market
- B) Secondary market
- C) Debt market
- D) Currency market

4. What made Rakesh Jhunjhunwala's Titan investment famous, according to the story?

- A) A lucky one-day trade
- B) Decades of patience through ups and downs, not a clever trick
- C) Insider information
- D) Borrowing heavily to buy more shares

5. True or False: Stock prices are affected only by a company's own performance.

- A) True
- B) False
- C) Only true for large companies
- D) Only true during an IPO

LESSON 2 — How Companies Raise Money

6. What are the two main ways a company raises capital?

- A) Debt and Equity
- B) Salary and Bonus
- C) Tax and Subsidy
- D) Import and Export

7. In equity financing, what does the company give up in return for capital?

- A) Nothing
- B) A part of ownership and future profits
- C) Its SEBI registration
- D) Its brand name

8. Infosys's 1993 IPO was undersubscribed and had to be bailed out by an underwriter. What does this show about equity investing?

- A) IPOs always fail
- B) Even a company that later became hugely successful looked uncertain and risky at the time
- C) Only foreign banks can invest in IPOs
- D) Undersubscribed IPOs never list

9. A company chooses a large bank loan instead of issuing new shares. What's a key risk of this compared to equity?

- A) It must repay the loan with interest regardless of business performance
- B) It becomes immune to market risk
- C) It can never issue shares again
- D) Its share price is guaranteed to rise

10. What is a Follow-on Public Offer (FPO)?

- A) A company's very first share sale
- B) Additional new shares issued by an already-listed company
- C) A type of bond
- D) A dividend payment

LESSON 3 — Opening a Demat & Trading Account

11. What does a Demat account store?

- A) Your bank balance
- B) Your shares/securities in electronic form
- C) Your PAN card details only
- D) Your broker's profits

12. Which depository was set up in 1996 as India's first, ending the era of purely paper share certificates?

- A) NSDL
- B) SEBI
- C) RBI
- D) NSE

13. Meera has a Demat account and wants to actually place a buy order. What else does she need?

- A) A Trading account
- B) A second PAN card
- C) An FPO application
- D) Nothing else

14. What was the 'bad delivery' problem Arjun described from the paper-share era?

- A) Slow postal service
- B) Certificates being lost, forged, or damaged during transfer between buyer and seller
- C) Companies delivering products late
- D) Brokers charging high fees

15. Why is nominating someone for your Demat account important?

- A) It reduces brokerage fees
- B) It ensures smoother transfer of your holdings to a family member if something happens to you
- C) It's required to buy IPO shares
- D) It increases your credit score

LESSON 4 — Reading Bid, Ask & LTP

16. What is the 'Ask' price?

- A) The highest price a buyer will pay
- B) The lowest price a seller will accept
- C) The price from yesterday's close
- D) The average price for the year

17. Before 1994, how did the BSE mainly execute trades?

- A) Fully electronic screens
- B) Open outcry — brokers shouting and signalling on a physical trading floor
- C) Mobile apps
- D) Postal orders

18. What does LTP stand for?

- A) Long Term Price
- B) Last Traded Price
- C) Live Trading Portal
- D) Lowest Trading Point

19. A stock shows a bid of Rs. 99.50 and an ask of Rs. 99.55. What does this narrow spread suggest?

- A) The stock is illiquid
- B) The stock is likely highly liquid, with active buyers and sellers
- C) The stock is about to be delisted
- D) The stock has no volume

20. What does trading Volume tell you about a stock?

- A) Its dividend yield
- B) The level of trading activity/interest in it over a period
- C) Its P/E ratio
- D) Its exact future price

LESSON 5 — What Nifty & Sensex Really Mean

21. What does a stock market index represent?

- A) The price of one single stock
- B) The combined performance of a selected basket of stocks
- C) A company's annual report
- D) A type of bank account

22. What triggered one of the most dramatic Sensex crashes in Indian history in 1992?

- A) A new IPO
- B) The exposure of Harshad Mehta's stock market scam
- C) A change in SEBI's logo
- D) An increase in mango prices

23. Which exchange does the Sensex belong to?

- A) NSE
- B) BSE
- C) SEBI
- D) RBI

24. A beginner assumes that if Nifty is up 1%, every stock in it is also up exactly 1%. Why is this wrong?

- A) It's actually correct
- B) The index is a weighted average — individual stocks can rise more, less, or even fall while the index rises overall
- C) Only Sensex works this way
- D) Index stocks always move identically

25. What long-term regulatory change came out of the 1992 scam, according to the story?

- A) Stock trading was banned for a year
- B) SEBI was given real legal powers to regulate the market
- C) The Sensex was renamed
- D) Physical share certificates were reintroduced

LESSON 6 — Market, Limit & Stop-Loss Orders

26. Which order type guarantees execution but not the exact price?

- A) Limit Order
- B) Market Order
- C) Stop-Loss Order
- D) IPO Order

27. You place a Limit Order to buy at Rs. 450 or lower. The stock is currently at Rs. 460 and never falls to Rs. 450 that day. What happens?

- A) It buys automatically at Rs. 460
- B) The order simply does not execute
- C) It buys at a random price
- D) The exchange forces a purchase

28. What is the main purpose of a Stop-Loss order?

- A) To guarantee a profit
- B) To automatically limit your loss if the price moves against you
- C) To buy shares faster than a market order
- D) To avoid paying brokerage

29. What caused the October 2012 Nifty flash crash described in the story?

- A) A SEBI policy change
- B) A dealer's mistaken ('fat-finger') order placed across many large-cap stocks
- C) A company going bankrupt
- D) A national holiday

30. Which order type would suit someone who cares more about getting a specific price than about how fast the trade happens?

- A) Market Order
- B) Limit Order
- C) Stop-Loss Order only
- D) None of these

LESSON 7 — What Really Moves Stock Prices

31. According to the lesson, why did markets recover strongly in late 2020 even while many businesses were still struggling?

- A) The pandemic had fully ended
- B) Lower interest rates and heavy money flows shifted expectations about the future
- C) All companies reported record profits
- D) The government banned selling

32. What does FII stand for?

- A) Federal Investment Institute
- B) Foreign Institutional Investor
- C) Fixed Income Instrument
- D) Financial Index Insurance

33. Which of these is a company-specific factor (rather than an economy-wide one)?

- A) RBI interest rate policy
- B) Global crude oil prices
- C) A company's quarterly results
- D) US Federal Reserve decisions

34. Why can the same news headline sometimes barely move the market, and other times cause a sharp fall?

- A) News never actually affects prices
- B) Overall investor mood (fear or greed) changes how the same information is received
- C) The stock exchange changes the news
- D) It's completely random with no explanation

35. What best describes DIIs?

- A) Foreign governments
- B) Domestic Institutional Investors like mutual funds and insurers
- C) Small individual retail traders
- D) Stock exchanges themselves

LESSON 8 — Large, Mid & Small Cap Explained

36. How is market capitalization calculated?

- A) Share price minus total debt
- B) Share price $\times$ Total number of shares
- C) Total revenue $\times$ profit margin
- D) Number of employees $\times$ average salary

37. Why can two stocks with a similar share price belong to very different market-cap categories?

- A) It's a data error
- B) They can have very different total numbers of shares outstanding
- C) Share price always equals market cap
- D) Only large companies are allowed a high share price

38. According to SEBI's classification, which companies are 'Large Cap'?

- A) The top 100 companies by market capitalisation
- B) Any company above Rs. 100 per share
- C) Companies ranked 101-250
- D) Only government-owned companies

39. What does the Eicher Motors story illustrate?

- A) Large caps never change category
- B) A company can move from small-cap to large-cap as its business grows over time
- C) Motorcycle companies always underperform
- D) Market cap categories are permanent and fixed

40. As a general pattern, how do small-cap stocks compare to large-cap stocks?

- A) Small caps are always safer
- B) Small caps typically carry higher growth potential but also higher risk and volatility
- C) There is no difference in risk
- D) Large caps always grow faster

LESSON 9 — What is an IPO and How Does It Work

41. What mechanism blocks (rather than immediately deducts) your money when you apply for an IPO?

- A) NEFT
- B) ASBA (Application Supported by Blocked Amount)
- C) EMI
- D) SIP

42. What does GMP (Grey Market Premium) represent?

- A) An official SEBI-regulated price
- B) An unofficial, unregulated estimate of listing-day demand
- C) The company's guaranteed profit
- D) A government tax on IPOs

43. What happened to Paytm's stock on its 2021 listing day, according to the story?

- A) It doubled in price
- B) It opened well below its issue price and kept falling afterward
- C) It was cancelled by SEBI
- D) Trading was suspended permanently

44. Why should you check what an IPO's funds will be used for?

- A) It doesn't matter at all
- B) Paying off old debt is a very different signal from funding genuine business growth
- C) All IPOs use funds identically
- D) Only foreign companies disclose this

45. What is the main lesson from the Paytm IPO story?

- A) All IPOs are scams
- B) Hype and popularity are not the same as a company's actual value or profitability
- C) Only foreign IPOs are risky
- D) IPOs always lose money on listing day

LESSON 10 — Trading Hours, Holidays & Settlement**46. What are the normal trading hours for NSE and BSE on a working day?**

- A) 9:15 AM to 3:30 PM
- B) 8:00 AM to 5:00 PM
- C) 24 hours a day
- D) 6:00 PM to midnight

47. What is Muhurat Trading?

- A) A mandatory annual audit
- B) A symbolic one-hour Diwali trading session considered auspicious
- C) A special session only for foreign investors
- D) An emergency trading halt

48. What does T+1 settlement mean?

- A) Trades take one month to settle
- B) A trade is fully settled the next working day after execution
- C) Trades settle instantly with zero delay
- D) T+1 refers to a type of order

49. What is the purpose of the pre-open session (9:00-9:08 AM)?

- A) To close the market early
- B) To help set a fair opening price before regular trading begins
- C) To allow only institutional investors to trade
- D) It has no real purpose

50. Why does settlement timing matter practically for an investor?

- A) It doesn't matter at all
- B) Money from a sale isn't usable the instant you click sell — it follows the T+1 cycle
- C) It only affects foreign investors
- D) It changes the company's share price

LESSON 11 — Volume and Liquidity Explained

51. What does trading 'volume' measure?

- A) A company's total profit
- B) The number of shares that changed hands in a given period
- C) The number of employees at a company
- D) The stock's all-time high price

52. What does 'liquidity' refer to in stock trading?

- A) How much debt a company has
- B) How easily a stock can be bought or sold without significantly moving its price
- C) The dividend a company pays
- D) The number of branches a company has

53. What did SEBI do in 2017 regarding suspected 'shell' companies?

- A) Banned all small-cap investing permanently
- B) Restricted trading in over 300 companies suspected of being shell entities with manipulated, illiquid trading
- C) Merged them into large-cap companies
- D) Gave them free listing status

54. Why can a barely-moving share price actually be a warning sign rather than a sign of stability?

- A) It never is a warning sign
- B) It can indicate very low liquidity, meaning almost nobody is trading the stock
- C) It always means the company is about to go bankrupt
- D) Stable prices are illegal

55. What is one warning sign of poor liquidity mentioned in the lesson?

- A) High trading volume every day
- B) A narrow gap between buy and sell prices
- C) A wide gap between the best buy and sell price on the order book
- D) Being part of the Nifty 50

LESSON 12 — Common Beginner Mistakes to Avoid

56. According to a SEBI study cited in the lesson, roughly what proportion of individual F&O (derivatives) traders lost money overall?

- A) About 1 in 10
- B) About half
- C) About 9 out of 10
- D) Almost none

57. What is the risk of 'trading on tips' instead of research?

- A) There is no risk, tips are usually reliable
- B) You end up acting on information you haven't verified or understood yourself
- C) Tips are illegal in India
- D) It guarantees higher returns

58. Why is 'no stop-loss' considered a common beginner mistake?

- A) Stop-losses are expensive to set
- B) Without one, investors often hold falling stocks hoping for a recovery, with no defined exit plan
- C) It's not actually a mistake
- D) Only professional traders need stop-losses

59. What does 'chasing past returns' mean?

- A) Selling a stock too early
- B) Buying a stock mainly because its price already rose a lot, not because of its current value
- C) Diversifying across many stocks
- D) Using a stop-loss order

60. What does SEBI's finding mainly caution against, according to the lesson?

- A) All stock market investing
- B) Frequent, high-risk derivatives trading without adequate knowledge or risk control
- C) Long-term equity investing
- D) Opening a demat account

LESSON 13 — Risk vs Reward: The First Rule

61. What is the fundamental relationship between risk and reward in investing?

- A) Higher reward potential usually comes with higher risk
- B) Higher reward always means lower risk
- C) Risk and reward are unrelated
- D) Only small-cap stocks carry any risk

62. What ultimately happened to Kingfisher Airlines, as described in the lesson?

- A) It became India's most profitable airline
- B) It grounded all flights permanently in 2012 after mounting debt and losses
- C) It merged with a foreign airline
- D) It was nationalised by the government

63. How does diversification help manage risk?

- A) It guarantees profits
- B) It ensures one company's failure only affects a small part of your overall portfolio
- C) It eliminates all risk completely
- D) It only works for large-cap stocks

64. Why should money needed within 1 year generally be kept in safer investments than money needed in 15 years?

- A) Short-term money legally cannot be invested in stocks
- B) A shorter time horizon gives less time to recover from a downturn before the money is needed
- C) It doesn't matter, all money should be treated the same
- D) Long-term money is always less valuable

65. What should you think if someone promises 'guaranteed high returns' in the stock market?

- A) It's a normal, trustworthy offer
- B) They are either misinformed or being misleading, since no such guarantee is possible
- C) Only apply if it sounds urgent
- D) Guaranteed returns are common in large-cap stocks

LESSON 14 — Start Small, Build Confidence

66. What is a SIP (Systematic Investment Plan)?

- A) A one-time lump sum investment
- B) A small, fixed amount invested automatically every month
- C) A type of stock order
- D) A government savings bond

67. What has driven India's SIP contributions to grow to over Rs. 20,000 crore a month, according to the lesson?

- A) A few large institutional investors
- B) Ordinary retail investors contributing small, consistent monthly amounts
- C) Government mandates
- D) Foreign investment alone

68. Why does the lesson suggest starting with small investment amounts?

- A) Small amounts guarantee higher returns
- B) Mistakes cost less while you're still learning your own habits and temperament
- C) Brokers require it by law
- D) Large amounts are illegal for beginners

69. What is the recommended first step before investing real money, according to the lesson?

- A) Borrow money to invest more
- B) Practice with the app's Paper Trading simulator using virtual money
- C) Invest your entire savings immediately
- D) Skip research and just start

70. According to the lesson, what matters more for long-term success: consistency or occasional large bets?

- A) Occasional large, emotional bets
- B) Consistency — small, regular amounts invested over years
- C) Neither matters
- D) Only the size of the very first investment matters

LESSON 15 — Glossary Review & Self-Check

71. A shareholder owns:

- A) A loan to the company
- B) Partial ownership in the company
- C) A government bond
- D) A fixed deposit

72. An IPO takes place in the:

- A) Secondary market
- B) Primary market
- C) Currency market
- D) Debt market

73. Which order type activates only if the price moves against you?

- A) Market Order
- B) Limit Order
- C) Stop-Loss Order
- D) Bulk Order

74. Market capitalization is calculated as:

- A) Revenue $\times$ profit margin
- B) Share price $\times$ total shares
- C) Total assets – total debt
- D) Number of branches $\times$ average sale

75. T+1 settlement means a trade is fully settled:

- A) Instantly
- B) The next working day
- C) After one month
- D) Only during Muhurat Trading

76. According to SEBI's own study cited in this book, most individual F&O traders:

- A) Made consistent profits
- B) Lost money overall
- C) Broke even exactly
- D) Were banned from trading

77. Diversification mainly helps by:

- A) Guaranteeing profits
- B) Reducing the impact of any single investment's failure on your whole portfolio
- C) Eliminating all risk
- D) Increasing brokerage fees

78. A SIP (Systematic Investment Plan) is best described as:

- A) A one-time lump sum bet
- B) A small, fixed amount invested automatically at regular intervals
- C) A type of stop-loss order
- D) A government tax on trading

LESSON 16 — Reading a Balance Sheet

79. What does a balance sheet show?

- A) Only a company's profit for the year
- B) What a company owns, owes, and what's left over for owners
- C) Only cash transactions
- D) A company's stock price history

80. What is the fundamental balance sheet equation?

- A) $\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$
- B) $\text{Assets} = \text{Revenue} - \text{Expenses}$
- C) $\text{Assets} = \text{Profit} \times \text{Shares}$
- D) $\text{Assets} = \text{Liabilities} - \text{Equity}$

81. What went wrong with IL&FS, according to the story?

- A) It had too much cash
- B) It built up large, poorly disclosed debt against hard-to-sell assets, then defaulted
- C) It was a small, unknown company nobody trusted
- D) It never had any assets

82. What does 'shareholders' equity' represent?

- A) The company's total debt
- B) What's left for owners after subtracting liabilities from assets
- C) The company's annual revenue
- D) The stock's daily trading volume

83. What broader effect did the IL&FS default have on Indian markets?

- A) None, it was fully contained
- B) It triggered a liquidity crunch across the NBFC sector
- C) It caused all banks to shut down
- D) It only affected IL&FS employees

LESSON 17 — Reading a Profit & Loss Statement

84. What does the 'bottom line' of a P&L statement refer to?

- A) Total revenue
- B) Net profit, after all expenses, interest, and tax
- C) Total assets
- D) The company's share price

85. Why can a company's revenue grow while its profit shrinks or turns negative?

- A) This is impossible
- B) Heavy spending on discounts, marketing, or expansion can grow revenue while eating into profit
- C) Revenue and profit are always identical
- D) Only small companies face this

86. What does EBITDA represent?

- A) Net profit after tax
- B) Operating profit before interest, tax, depreciation, and amortisation
- C) Total company debt
- D) Total shareholder equity

87. What should investors check alongside a company's revenue growth, according to the lesson?

- A) Nothing else matters
- B) The margin (profit as a percentage of revenue) trend
- C) Only the company's logo
- D) The number of employees

88. What pattern did several new-age Indian companies show after their IPOs, according to the story?

- A) Immediate high profitability
- B) Strong revenue growth alongside continued losses for years
- C) Declining revenue every quarter
- D) No revenue at all

LESSON 18 — Reading a Cash Flow Statement

89. What did Ramalinga Raju admit to in the 2009 Satyam scandal?

- A) Underpaying employee salaries
- B) Falsifying the company's accounts, including a cash balance that didn't exist
- C) Delaying an IPO
- D) Merging with a competitor

90. Why is the cash flow statement considered harder to fake than the profit figure?

- A) It isn't harder to fake
- B) Actual cash movements leave a more verifiable trail than accounting profit does
- C) Cash flow statements are optional
- D) Only foreign companies publish cash flow statements

91. Which of these is an 'Operating Activity' on a cash flow statement?

- A) Issuing new shares
- B) Cash generated from the company's core business
- C) Buying a new factory
- D) Repaying a bank loan

92. How can a company report profit on paper while its actual cash shrinks?

- A) This is not possible
- B) Sales made on credit can count as profit before the customer actually pays
- C) Profit and cash are always identical
- D) Only loss-making companies face this

93. What is considered one of the healthiest signs of a sustainable business, per the lesson?

- A) Rising share price alone
- B) Consistently strong operating cash flow, growing alongside reported profit
- C) A large marketing budget
- D) Frequent management changes

LESSON 19 — Key Ratios: The P/E Ratio

94. How is the P/E ratio calculated?

- A) $\text{Share Price} \div \text{Total Revenue}$
- B) $\text{Share Price} \div \text{Earnings Per Share}$
- C) $\text{Total Assets} \div \text{Total Liabilities}$
- D) $\text{Net Profit} \times \text{Total Shares}$

95. What happened to many Indian IT stocks during the 1999-2000 dot-com boom, according to the story?

- A) Their P/E ratios stayed low and stable
- B) They traded at P/E ratios above 100, sometimes above 200
- C) They were all delisted
- D) They had no P/E ratio at all

96. Why isn't a low P/E automatically a 'good buy'?

- A) Low P/E is always a mistake by the market
- B) It can also reflect genuine, valid concerns the market has about that business
- C) P/E doesn't affect share price
- D) Low P/E stocks can't be purchased by retail investors

97. Why should P/E ratios generally be compared within the same sector?

- A) P/E is identical across all sectors
- B) Different sectors have different normal P/E ranges based on their typical growth and risk
- C) Sector comparison is illegal under SEBI rules
- D) Only IT companies have a P/E ratio

98. What ultimately happened when the dot-com bubble burst in 2001?

- A) IT stock prices kept rising
- B) Many high-P/E stocks fell 80-90% or more from their peaks
- C) P/E ratios became irrelevant
- D) The government banned IT stocks

LESSON 20 — P/B, ROE & Debt-to-Equity

99. What does a Price-to-Book (P/B) ratio below 1 typically suggest?

- A) The company is extremely overvalued
- B) The market values the company at less than its stated net worth
- C) The company has no shareholders
- D) The company pays no tax

100. What does Return on Equity (ROE) measure?

- A) Total company debt
- B) How efficiently a company turns shareholders' money into profit
- C) The company's share price history
- D) The number of shares outstanding

101. What does a high Debt-to-Equity (D/E) ratio indicate?

- A) The company has no debt
- B) The company relies heavily on borrowed money, which is riskier in a downturn
- C) The company is definitely a bad investment
- D) The company pays high dividends

102. According to the story, why did many PSU banks trade at a P/B below 1 in the mid-2010s?

- A) They had too much cash
- B) Rising bad loans (NPAs) hurt profitability and investor confidence in their true book value
- C) They stopped operating
- D) Interest rates were too low

103. What is the key lesson about using P/B, ROE, and D/E together?

- A) Only one ratio is ever necessary
- B) Reading them together gives a more complete, reliable picture than any single ratio alone
- C) These ratios contradict each other and should be ignored
- D) They only apply to banks

LESSON 21 — Earnings Per Share (EPS)

104. How is EPS (Earnings Per Share) calculated?

- A) $\text{Net Profit} \div \text{Total Number of Outstanding Shares}$
- B) $\text{Share Price} \div \text{Net Profit}$
- C) $\text{Total Revenue} \div \text{Total Shares}$
- D) $\text{Net Profit} \times \text{Share Price}$

105. Why is comparing two companies' total profit alone misleading?

- A) Total profit is always accurate on its own
- B) Companies can have very different numbers of shares outstanding, changing the per-share value
- C) Only EPS matters, profit is irrelevant
- D) It isn't misleading at all

106. What can cause EPS to fall even if a company's actual business performance hasn't changed?

- A) A dividend payment
- B) A bonus share issue, which increases share count without changing total profit
- C) Higher trading volume
- D) A change in the CEO

107. What does EPS allow investors to do?

- A) Avoid taxes
- B) Compare companies on a comparable, per-share basis rather than by raw total profit
- C) Predict interest rate changes
- D) Guarantee future returns

108. Why should you understand *why* EPS changed before reacting to it?

- A) EPS changes never matter
- B) A fall from a bonus issue is very different news from a fall due to a bad quarter
- C) EPS cannot actually change
- D) Only quarterly EPS changes are real

LESSON 22 — Introduction to Fundamental Analysis

109. What core question does fundamental analysis try to answer?

- A) What will the stock price do tomorrow?
- B) Is this a genuinely good business, and is the price fair for owning a piece of it?
- C) How many people are discussing the stock online?
- D) What time does the market open?

110. Which of these is a 'qualitative' factor in fundamental analysis (rather than a number from a financial statement)?

- A) The P/E ratio
- B) Management quality and competitive position
- C) Net profit
- D) Total shares outstanding

111. What made HDFC Bank's multi-decade growth story notable, according to the lesson?

- A) One single dramatic breakthrough event
- B) Steady, unglamorous, consistent fundamentals sustained over decades
- C) A risky, speculative business model
- D) A one-time government bailout

112. Fundamental analysis is generally best suited to which kind of investing approach?

- A) Very short-term, minute-by-minute trading
- B) Slower, research-heavy investing meant for holding over years
- C) Guessing based on chart patterns alone
- D) Ignoring financial statements entirely

113. Fundamental analysis combines which of the following?

- A) Only the P/E ratio
- B) Financial statements, valuation ratios, and qualitative business factors together
- C) Only chart patterns
- D) Only news headlines

LESSON 23 — Introduction to Technical Analysis

114. What is the core assumption of technical analysis?

- A) Only a company's balance sheet matters
- B) Price already reflects known information, and moves in identifiable, psychology-driven patterns
- C) Stock prices move completely randomly with no patterns
- D) Technical analysis ignores price entirely

115. What happened when Nifty crossed 10,000 in July 2017?

- A) The market crashed immediately
- B) It was followed by a fresh wave of buying interest around a closely watched psychological level
- C) Trading was halted permanently
- D) It had no effect on trader behaviour

116. How does technical analysis differ from fundamental analysis?

- A) They are exactly the same thing
- B) Technical analysis studies price and trading behaviour; fundamental analysis studies the underlying business
- C) Technical analysis only applies to bonds
- D) Fundamental analysis ignores financial statements

117. According to the lesson, how do many experienced investors combine both approaches?

- A) They only ever use one and ignore the other completely
- B) Fundamentals to decide what to buy, technicals to help decide when
- C) Technicals to decide what to buy, fundamentals to decide when
- D) They never combine them

118. What does the technical-analysis idea 'history tends to rhyme' suggest?

- A) Stock prices repeat with 100% certainty
- B) How a stock behaved at a similar price level before can offer useful (not guaranteed) clues
- C) Company history has no relevance to price
- D) Only very old companies show price patterns

LESSON 24 — Candlestick Charts: The Basics

119. Who is credited with developing the earliest candlestick charting method?

- A) Warren Buffett
- B) Munehisa Homma, an 18th-century Japanese rice trader
- C) SEBI
- D) Benjamin Graham

120. What does the color of a candlestick typically indicate?

- A) The company's sector
- B) Whether the price closed higher (green) or lower (red) than it opened
- C) The trading volume
- D) The company's market cap

121. What do the thin lines ('wicks') on a candlestick represent?

- A) The company's dividend
- B) The highest and lowest prices reached during that period
- C) The trading volume
- D) The stock's P/E ratio

122. What key information does a plain line chart typically leave out that a candlestick includes?

- A) The closing price
- B) The full range of price movement (open, high, low) within each period
- C) The company name
- D) The stock exchange

123. Roughly how old is the candlestick charting method, according to the lesson?

- A) Invented in the 2000s for online trading apps
- B) Traces back to 18th-century Japanese rice trading
- C) Invented by SEBI in the 1990s
- D) Less than 10 years old

LESSON 25 — Chart Types: Line, Bar & Candlestick

124. What does a line chart typically plot?

- A) Only the opening price
- B) Only the closing price over time
- C) High and low prices only
- D) Trading volume only

125. What information does a Bar (OHLC) chart show?

- A) Only the company name
- B) Open, High, Low, and Close for each period
- C) Only trading volume
- D) Only the P/E ratio

126. How does a candlestick chart's information compare to a bar chart's?

- A) Candlesticks show completely different data
- B) They show the same OHLC data, just in a more visually intuitive, color-coded shape
- C) Candlesticks omit the closing price
- D) Bar charts show more information than candlesticks

127. Which chart type is best suited for quickly spotting a stock's overall long-term direction, with less detail?

- A) Candlestick chart
- B) Line chart
- C) Bar chart
- D) None of these show direction

128. What is the main takeaway about the three chart types discussed?

- A) They plot completely unrelated data
- B) They all plot the same underlying price data, differing mainly in detail and readability
- C) Only candlestick charts are accurate
- D) Line charts are always wrong

LESSON 26 — Support and Resistance Levels

129. What is a 'support' level?

- A) A price ceiling that's hard to break above
- B) A price floor where buying interest has historically stopped a fall
- C) A company's total debt
- D) A type of order

130. What is a 'resistance' level?

- A) A price floor
- B) A price ceiling where selling interest has historically stopped a rise
- C) The company's book value
- D) A dividend payment date

131. What happened to the Sensex's 40,000 level after it was finally broken, according to the concept described?

- A) It disappeared and never mattered again
- B) It could flip and start acting as a support level on future pullbacks
- C) It became illegal to trade near that level
- D) The Sensex was renamed

132. Why do support and resistance levels form?

- A) They are set by SEBI
- B) Many traders remember and act similarly around the same past price points, creating a self-reinforcing pattern
- C) They are randomly generated by exchanges
- D) They only apply to government bonds

133. Are support and resistance levels guaranteed to hold every time?

- A) Yes, always, without exception
- B) No — they reflect historical tendencies, not a guaranteed physical law
- C) They only apply to small-cap stocks
- D) They are set permanently by the exchange

LESSON 27 — Moving Averages Explained

134. What is the main purpose of a moving average?

- A) To predict a company's next dividend
- B) To smooth out short-term price noise and reveal the underlying trend
- C) To calculate a company's P/E ratio
- D) To set the market's trading hours

135. What is the key difference between an SMA and an EMA?

- A) There is no difference
- B) EMA gives more weight to recent days, reacting faster to new price changes than SMA
- C) SMA only works for large-cap stocks
- D) EMA ignores recent price data entirely

136. What is a 'Golden Cross'?

- A) A shorter-term moving average crossing above a longer-term one, watched as a bullish signal
- B) A stock hitting its all-time low
- C) A type of stop-loss order
- D) A government bond auction

137. What happened with Nifty's moving averages after the March 2020 crash, according to the story?

- A) The 50-day MA crossed back above the 200-day MA, a Golden Cross, aligning with market recovery
- B) The market never recovered
- C) Moving averages disappeared from use
- D) A Death Cross occurred and stayed permanently

138. Does a Golden Cross or Death Cross guarantee future price movement?

- A) Yes, always with 100% accuracy
- B) No, they are widely-watched signals, not certainties
- C) Only Death Crosses are guaranteed
- D) They only apply to bonds

LESSON 28 — Sectors and Sector Rotation

139. What does the term 'sector' refer to in investing?

- A) A single company's stock price
- B) A group of companies in the same type of business, like IT or banking
- C) A type of stock order
- D) A government tax bracket

140. What is 'sector rotation'?

- A) A company changing its business permanently
- B) The tendency of investor money to shift between sectors as economic conditions change
- C) A type of stock split
- D) A rule requiring investors to sell after one year

141. Why did IT stocks outperform during 2020-21 lockdowns, according to the story?

- A) Interest rates fell to zero permanently
- B) Global demand for digitisation surged as businesses adapted to remote work
- C) IT companies stopped paying tax
- D) The government banned other sectors

142. What tends to happen to investor attention as an economy reopens and grows more confidently, based on the lesson?

- A) It stays fixed on the same sector forever
- B) It often rotates toward cyclical sectors like banking and auto tied to everyday economic activity
- C) All sectors perform identically at all times
- D) Investors stop investing entirely

143. What is the main lesson from the IT-to-banking rotation example?

- A) IT stocks are permanently bad investments
- B) No single sector leads forever — performance often shifts as conditions change
- C) Sector performance is completely random with no pattern
- D) Banking stocks always outperform IT stocks

LESSON 29 — Inflation & Interest Rates vs Markets

144. What is the primary reason the RBI raises interest rates?

- A) To directly control stock prices
- B) To manage inflation
- C) To reward IPO investors
- D) To set trading hours

145. How do higher interest rates generally affect stock markets?

- A) They have no effect on stocks
- B) They tend to weigh on stocks by raising borrowing costs and making bonds/FDs relatively more attractive
- C) They always immediately raise stock prices
- D) They only affect foreign markets

146. What global event worsened inflation in 2022, according to the lesson?

- A) A stock market holiday
- B) The Russia-Ukraine war's effect on energy and food prices
- C) A new Indian IPO
- D) A change in SEBI regulations

147. How can rising inflation directly hurt company profits?

- A) It never affects profits
- B) It can squeeze margins if companies can't fully pass higher costs on to customers
- C) It only affects government companies
- D) Inflation always increases profits

148. What does the 2022 rate-hike example mainly illustrate?

- A) Individual company news is the only thing that ever moves markets
- B) Economy-wide forces like interest rates can move markets broadly, regardless of individual company performance
- C) Interest rates have no connection to stock markets
- D) The RBI directly sets stock prices

LESSON 30 — Diversification: Beyond One Basket

149. Why wasn't Meera's portfolio of ten stocks truly diversified, according to the lesson?

- A) She owned too few stocks
- B) All ten stocks were tied to the same underlying sector (banking and finance)
- C) She only owned large-cap stocks
- D) Ten stocks is always too many

150. What happened to many 'diversified' stock portfolios during the 2008 Global Financial Crisis?

- A) They were completely unaffected
- B) Nearly everything fell together, since the crisis hit the global financial system broadly
- C) Only Indian stocks fell
- D) All portfolios gained value

151. According to the lesson, what helped investors weather the 2008 crisis better?

- A) Holding only one large stock
- B) Also holding other asset classes like bonds, gold, and cash alongside stocks
- C) Avoiding all forms of investment
- D) Only investing in IT stocks

152. Which of these is an example of diversifying 'within stocks'?

- A) Buying gold instead of stocks
- B) Spreading investments across different sectors and market-cap sizes
- C) Keeping all money in a savings account
- D) Buying only government bonds

153. What is the key takeaway about diversification from this lesson?

- A) Owning many stocks is always sufficient diversification
- B) Real diversification requires spreading across genuinely different exposures and asset classes, not just company names
- C) Diversification guarantees no losses ever
- D) Only large-cap investors need to diversify

LESSON 31 — Building a Simple Portfolio Structure

154. What should determine a portfolio's structure, according to the lesson, before picking individual stocks?

- A) The most popular stock tip that week
- B) Your own goals and time horizon
- C) The stock with the lowest price
- D) Random selection

155. Why might money needed in 2 years belong mostly in safer instruments?

- A) Safer instruments always earn more
- B) There's less time to recover from a downturn before the money is needed
- C) Equity is illegal for short-term goals
- D) It doesn't matter how soon you need the money

156. What is a common simple starting framework for asset allocation, per the lesson?

- A) 100% in one single stock
- B) Splitting across equity, debt, and a small gold/cash allocation
- C) Only gold, nothing else
- D) Only cryptocurrency

157. How often does the lesson suggest reviewing and rebalancing a portfolio?

- A) Every single day
- B) Periodically, such as every 6-12 months
- C) Only once, at the very start
- D) Never review it at all

158. What is the main point of 'Step 3 — Diversify Within Each Bucket'?

- A) Put all equity money into one single stock
- B) No single stock or fund should be large enough that its failure alone derails your plan
- C) Only diversify the debt portion
- D) Diversification within a bucket is unnecessary

LESSON 32 — Dividends: How Companies Share Profits

159. What is a dividend?

- A) A loan the company takes from shareholders
- B) A portion of a company's profit distributed directly to shareholders
- C) A mandatory government tax
- D) A type of stock order

160. Are companies legally required to pay dividends?

- A) Yes, always
- B) No — many companies choose to reinvest all profit into the business instead
- C) Only IPO companies must pay dividends
- D) Only banks are required to pay dividends

161. How is Dividend Yield calculated?

- A) $\text{Share price} \div \text{Net profit}$
- B) $\text{Annual dividend per share} \div \text{Share price}$
- C) $\text{Total dividend paid} \times \text{number of shareholders}$
- D) $\text{Net profit} \div \text{Total assets}$

162. What must you do to qualify for a company's dividend, based on the Record Date?

- A) Sell your shares before the record date
- B) Own the shares by the record date
- C) Never sell the shares at all
- D) Buy the shares after the dividend is paid

163. What does ITC's decades-long dividend history illustrate, according to the lesson?

- A) All companies pay dividends reliably
- B) Some companies can be reliable, long-term sources of steady dividend income across different economic environments
- C) Dividends are always guaranteed by SEBI
- D) Dividend-paying companies never grow

LESSON 33 — Splits, Bonus Shares & Buybacks

164. What happens to your total investment value in a stock split?

- A) It doubles automatically
- B) It stays the same — you hold more shares at a proportionally lower price each
- C) It is reduced to zero
- D) It becomes impossible to calculate

165. What are bonus shares?

- A) Shares you must pay extra for
- B) Additional free shares issued to existing shareholders in a fixed ratio
- C) A type of dividend paid in cash
- D) A penalty for late payment

166. What is a share buyback?

- A) The company issuing new shares to the public
- B) The company repurchasing its own shares, reducing total shares outstanding
- C) A shareholder selling shares back to another shareholder
- D) A type of stock split

167. Why has MRF's share price remained extremely high compared to most Indian large-caps?

- A) It has done many stock splits
- B) It has never split its stock, unlike most other large companies
- C) It is not a real company
- D) Its shares cannot be traded

168. Do stock splits, bonus issues, and buybacks change a company's fundamental underlying value?

- A) Yes, they always increase value
- B) No — they change the share count and/or price, not the fundamental value
- C) Yes, they always decrease value
- D) Only buybacks change fundamental value

LESSON 34 — Mutual Funds vs Direct Stock Investing

169. What does the SPIVA India study regularly compare?

- A) Bank interest rates over time
- B) Actively managed Indian equity mutual funds against their benchmark indices
- C) Gold prices versus silver prices
- D) IPO listing gains

170. What has the SPIVA India study generally found about actively managed large-cap funds?

- A) Nearly all of them consistently beat their benchmark index
- B) A significant majority have failed to beat their benchmark index over longer periods
- C) Active funds always charge zero fees
- D) The study found no meaningful difference ever

171. What is a key advantage of direct stock investing over mutual funds?

- A) Guaranteed higher returns
- B) Full control and no fund management fees
- C) Zero effort required
- D) Automatic diversification

172. What is the 'expense ratio' in the context of mutual funds?

- A) A one-time IPO fee
- B) The ongoing management fee that reduces mutual fund returns over time
- C) A government tax on dividends
- D) The fund's minimum investment amount

173. According to the lesson, how do many experienced investors combine both approaches?

- A) They only ever use one exclusively
- B) Direct stocks for researched companies, mutual funds for broad, low-effort diversification
- C) Mutual funds only for very short-term trading
- D) They avoid both entirely

LESSON 35 — Introduction to ETFs

174. What is an ETF (Exchange-Traded Fund)?

- A) A single individual stock
- B) A fund holding a basket of assets that trades on the exchange like a regular share
- C) A type of bank fixed deposit
- D) A government bond

175. What was Nifty BeES, mentioned in the story?

- A) A recently launched cryptocurrency
- B) India's first ETF, launched in the early 2000s to track the Nifty 50
- C) A type of mutual fund fee
- D) A government savings scheme

176. How does ETF trading differ from regular mutual fund trading?

- A) They trade identically in every way
- B) ETFs trade continuously during market hours at live prices; mutual funds trade once a day at end-of-day NAV
- C) Mutual funds trade continuously, ETFs trade once a day
- D) Neither can be bought or sold by retail investors

177. How do most ETF expense ratios generally compare to actively managed mutual funds?

- A) ETFs are always more expensive
- B) Most ETFs, especially index-tracking ones, tend to have lower expense ratios
- C) There is no difference in cost
- D) ETFs charge no fees of any kind

178. What kinds of assets can Indian ETFs track today, beyond just Nifty/Sensex?

- A) Only foreign currencies
- B) Gold, specific sectors, and international indices, among others
- C) Only government bonds
- D) ETFs can only track a single stock

LESSON 36 — Chart Patterns: Head & Shoulders, Triangles

179. What does a Head & Shoulders pattern typically signal?

- A) A guaranteed price doubling
- B) A possible reversal of the current uptrend
- C) A dividend announcement
- D) A stock split

180. What generally happens with a Triangle pattern?

- A) Price always crashes to zero
- B) Price narrows into a tighter range before often continuing its prior trend on breakout
- C) It only appears once per stock ever
- D) It guarantees a bullish outcome

181. Who formally catalogued patterns like Head & Shoulders in their influential 1948 book?

- A) Robert Edwards and John Magee
- B) Warren Buffett
- C) SEBI
- D) Benjamin Graham

182. Roughly how old are the ideas behind modern chart pattern analysis, according to the lesson?

- A) Invented in the last five years
- B) Rooted in ideas dating back to the late 1800s and formally catalogued by 1948
- C) Created specifically for Indian markets in 2020
- D) They have no historical origin

183. What is the key takeaway about using chart patterns?

- A) They guarantee a specific future price with certainty
- B) They suggest tendencies based on collective behaviour, best used alongside risk management, not alone
- C) They should replace all fundamental analysis
- D) Only professional traders are allowed to use them

LESSON 37 — RSI Indicator Explained

184. Who introduced the RSI indicator, and when?

- A) J. Welles Wilder Jr., in 1978
- B) SEBI, in 2010
- C) Warren Buffett, in 1965
- D) John Bollinger, in 1985

185. What scale does RSI use?

- A) 0 to 10
- B) 0 to 100
- C) -100 to 100
- D) 1 to 5

186. What does an RSI reading above 70 often suggest?

- A) The stock is guaranteed to crash
- B) The stock may be 'overbought' and due for a possible pause or pullback
- C) The company is bankrupt
- D) The stock has no trading volume

187. What does an RSI reading below 30 often suggest?

- A) The stock may be 'oversold' and due for a possible bounce
- B) The stock is about to be delisted
- C) The stock has doubled in price
- D) The company has stopped operations

188. Can a stock with an 'overbought' RSI reading continue rising further?

- A) No, it's mathematically impossible
- B) Yes — RSI indicates a stretched move, not a guaranteed reversal, especially in a strong trend
- C) Only on weekends
- D) Only if the company pays a dividend

LESSON 38 — MACD Indicator Explained

189. Who developed the MACD indicator?

- A) Gerald Appel, in the late 1970s
- B) SEBI, in 2005
- C) Munehisa Homma, in the 18th century
- D) J. Welles Wilder Jr.

190. What does the MACD 'histogram' show?

- A) The company's dividend history
- B) The gap between the MACD line and the signal line
- C) The stock's total trading volume
- D) The company's P/E ratio

191. What is generally considered a bullish MACD signal?

- A) The MACD line crossing below the signal line
- B) The MACD line crossing above the signal line
- C) The histogram disappearing completely
- D) The stock price reaching zero

192. How is MACD conceptually related to the Golden Cross/Death Cross idea from Lesson 27?

- A) They are completely unrelated concepts
- B) Both are based on the relationship between moving averages crossing each other
- C) MACD has nothing to do with moving averages
- D) Golden Cross only applies to bonds

193. What is the key takeaway about using MACD?

- A) It should be used as the sole basis for every trading decision
- B) It's a signal to weigh alongside other tools, not a standalone decision-maker
- C) It guarantees future price direction with certainty
- D) It only works for gold ETFs

LESSON 39 — Bollinger Bands & Volatility

194. What do Bollinger Bands primarily measure?

- A) A company's dividend yield
- B) A stock's volatility
- C) A company's total debt
- D) The market's trading hours

195. What happens to Bollinger Bands during a volatile period?

- A) They disappear completely
- B) They widen
- C) They always turn red
- D) They narrow

196. What does a Bollinger Band 'squeeze' (narrowing bands) often suggest?

- A) The company is about to be delisted
- B) A period of unusually low volatility that has often preceded a sharp price move
- C) The stock will definitely rise
- D) The indicator is broken

197. Who developed Bollinger Bands?

- A) John Bollinger, in the early 1980s
- B) Gerald Appel
- C) J. Welles Wilder Jr.
- D) Charles Dow

198. Why is combining Bollinger Bands with RSI or MACD useful, per the lesson?

- A) It isn't useful, only one indicator should ever be used
- B) It combines a volatility view with a momentum view for a fuller technical picture
- C) Bollinger Bands and MACD measure the exact same thing
- D) It guarantees profitable trades

LESSON 40 — Introduction to Options: Calls & Puts

199. What does buying an Option contract give you?

- A) An obligation to buy or sell
- B) The right, but not the obligation, to buy or sell at a fixed price before expiry
- C) Guaranteed ownership of the company
- D) A fixed dividend payment

200. What is a 'Call' option?

- A) The right to sell at the strike price
- B) The right to buy at the strike price
- C) A guaranteed profit contract
- D) A type of dividend

201. What is the 'premium' in options trading?

- A) The company's total profit
- B) The fee paid to buy an options contract
- C) A type of stock split
- D) The exchange's trading hours

202. When was options trading formally introduced on Indian exchanges?

- A) 2001
- B) 1875
- C) 1992
- D) 2020

203. Why does this lesson emphasize 'concepts only'?

- A) Options are illegal in India
- B) Options carry complex risk, and SEBI data shows most retail F&O traders lose money overall
- C) Options are guaranteed to be profitable
- D) Only foreign investors can trade options

LESSON 41 — Introduction to Futures Contracts

204. What is the key obligation difference between a Futures contract and an Option?

- A) There is no difference
- B) In Futures, both buyer and seller are obligated to transact; in Options, the buyer has a right but no obligation
- C) Futures always expire worthless
- D) Options obligate both parties, Futures do not

205. When were index futures introduced in India?

- A) June 2000, by NSE
- B) 2001, alongside options
- C) 1875, with the BSE's founding
- D) 2020, during the pandemic

206. Why can a Futures position carry uncapped potential losses, unlike buying an Option?

- A) Futures obligate both parties to the full contract, unlike an option buyer who can simply let it expire
- B) Futures are risk-free investments
- C) Futures are only available to the government
- D) This is not true — Futures losses are always capped

207. Who commonly uses futures contracts, according to the lesson?

- A) Only the government
- B) Both institutions (for hedging) and increasingly retail traders
- C) Only foreign banks
- D) No one uses them anymore

208. Why does the lesson stress disciplined risk management specifically for futures?

- A) Futures have no real risk
- B) Because potential losses are uncapped, unlike an option buyer's premium-limited risk
- C) Futures are illegal for individuals
- D) Risk management doesn't apply to derivatives

LESSON 42 — Position Sizing & Risk Management

209. What is 'position sizing'?

- A) Choosing which stock to buy
- B) Deciding how much capital to risk on a single trade or investment
- C) Reading a company's balance sheet
- D) Setting the market's trading hours

210. What ultimately went wrong with LTCM in 1998, according to the story?

- A) Their analytical models were entirely wrong
- B) They took on positions too heavily leveraged relative to their capital, and market shocks nearly collapsed the fund
- C) They refused to use any risk models
- D) They only invested in Indian markets

211. What percentage of capital do many risk-conscious traders commonly cap a single trade's potential loss at?

- A) 50-60%
- B) Around 1-2%
- C) 100%
- D) There is no common guideline at all

212. What tool is commonly used to enforce a position-sizing risk cap?

- A) A stop-loss order
- B) A dividend reinvestment plan
- C) A stock split
- D) An IPO application

213. What is the main lesson from LTCM's near-collapse, per this lesson?

- A) Nobel Prize winners should never trade
- B) Being right about analysis isn't enough if position sizing is wrong
- C) Leverage is always safe for hedge funds
- D) Only Indian markets carry position-sizing risk

LESSON 43 — Trading Psychology: Fear, Greed & Discipline

214. What is India VIX?

- A) A stock exchange
- B) An index measuring the market's expected near-term volatility, nicknamed the 'fear gauge'
- C) A type of mutual fund
- D) A government bond

215. What tends to happen to India VIX during periods of market panic?

- A) It disappears
- B) It tends to spike sharply
- C) It always falls to zero
- D) It has no relationship to market mood

216. Which of these is a common trading cost of 'greed'?

- A) Selling in a panic at the bottom
- B) Holding a winning position too long, chasing an even bigger gain, and giving back profits
- C) Refusing to ever trade
- D) Reading a company's balance sheet

217. What does genuine trading discipline look like in practice, according to the lesson?

- A) Deciding trades purely in the emotional heat of the moment
- B) A written plan (entry, exit, stop-loss, position size) decided calmly in advance and then followed
- C) Avoiding all planning entirely
- D) Only trading when feeling extremely confident

218. What is the lesson's overall message about fear and greed?

- A) They can and should be completely eliminated
- B) They are universal and measurable — the goal is a disciplined plan that overrides them, not eliminating them
- C) Only beginners experience fear and greed
- D) They only affect professional traders

LESSON 44 — Behavioral Biases That Hurt Traders

219. What is 'loss aversion'?

- A) Preferring gains over losses equally
- B) Feeling the pain of a loss more intensely than the pleasure of an equivalent gain
- C) A type of stop-loss order
- D) A government tax on losses

220. Who won a Nobel Prize partly for research underlying loss aversion and prospect theory?

- A) Daniel Kahneman
- B) Warren Buffett
- C) John Bollinger
- D) Gerald Appel

221. What is 'confirmation bias'?

- A) Always seeking opposing viewpoints
- B) Seeking out only information that supports a position you already hold
- C) A type of technical indicator
- D) A rule about position sizing

222. Which earlier lesson's WhatsApp-tip example illustrates 'herd mentality'?

- A) Lesson 5
- B) Lesson 12
- C) Lesson 20
- D) Lesson 30

223. According to the lesson, what is often the first step to overcoming these biases?

- A) Ignoring them entirely
- B) Simply recognising and naming the bias as it happens
- C) Trading more frequently
- D) Avoiding the stock market completely

LESSON 45 — Using Your Trading Journal to Spot Patterns

224. What did Meera discover by rereading months of her trading journal?

- A) She only traded IT stocks
- B) Nearly all her losing trades happened on rushed Friday afternoons
- C) She never made any losing trades
- D) Her journal had no useful information

225. What part of a trading journal entry does the lesson say most beginners skip, despite it being the most revealing?

- A) The stock's ticker symbol
- B) How they felt emotionally going into the trade
- C) The purchase price
- D) The date of the trade

226. How often does the lesson suggest reviewing a trading journal for patterns?

- A) Never
- B) Periodically, such as monthly
- C) Only once, at the very end of your investing life
- D) Every minute during market hours

227. What is the main value of a trading journal, according to the lesson?

- A) It guarantees future profits
- B) It reveals patterns in your own behaviour that aren't visible from any single trade
- C) It replaces the need for research entirely
- D) It only matters for tax purposes

228. Which earlier lesson's rule did the lesson suggest checking your journal against (e.g., 'ignoring it more often than you'd like')?

- A) Lesson 6's stop-loss rule
- B) Lesson 35's ETF lesson
- C) Lesson 20's ratio lesson
- D) Lesson 2's IPO lesson

LESSON 46 — Sector Deep-Dive: Banking & Financials

229. What is a key difference between a Bank and an NBFC?

- A) There is no difference at all
- B) Banks can take public deposits; NBFCs generally cannot
- C) NBFCs are regulated more strictly than banks
- D) Only NBFCs are allowed to lend money

230. What is considered the single biggest banking-specific risk, per the lesson?

- A) Company logos
- B) Asset quality — bad loans (NPAs)
- C) Office locations
- D) Stock split frequency

231. How do interest rate changes typically affect banking stocks?

- A) They have no effect on banks specifically
- B) They directly affect a bank's lending margins
- C) They only affect IT companies
- D) They only matter for insurance companies

232. What are Small Finance Banks, according to the lesson?

- A) Foreign investment banks
- B) A newer bank category focused on underserved segments like small businesses and rural borrowers
- C) A type of NBFC that cannot lend
- D) The same thing as NSE and BSE

233. Why does the lesson call banking a sector where multiple course concepts 'meet'?

- A) Banking has no connection to any other lesson
- B) It's highly sensitive to rates, NPAs, and credit growth — combining fundamental analysis and macro forces from earlier lessons
- C) Banking stocks never move in price
- D) Only technical analysis applies to banks

LESSON 47 — Sector Deep-Dive: IT & Pharma

234. How does a weaker rupee generally affect Indian IT company margins?

- A) It generally hurts their margins
- B) It generally helps their margins, since they earn largely in foreign currency but pay costs in rupees
- C) It has no effect at all
- D) It only affects pharma companies

235. Why is India sometimes called the 'pharmacy of the world'?

- A) It invented the most new drugs globally
- B) It supplies a very large share of the world's generic medicines
- C) It only sells medicines domestically
- D) It has the world's largest hospitals

236. What can significantly move an Indian pharma stock, largely independent of its overall business quality?

- A) A stock split
- B) A single US FDA inspection finding at one manufacturing plant
- C) A change in the company's logo
- D) A public holiday

237. What sector-specific risk factor is most emphasized for IT companies in this lesson?

- A) Regulatory approval risk
- B) Currency (rupee) movement
- C) Weather patterns
- D) Trading volume

238. What is the broader point of doing a 'sector deep-dive' like this, according to the lesson?

- A) It's purely academic with no practical use
- B) It deepens fundamental analysis beyond generic ratios by understanding sector-specific risk factors
- C) It replaces the need to read financial statements
- D) Only professional analysts benefit from this

LESSON 48 — How Global Markets Affect Indian Stocks

239. What is GIFT Nifty used for, according to the lesson?

- A) Setting India's interest rates
- B) Giving an early signal of how the Nifty is likely to open, based on overnight global cues
- C) Replacing the NSE entirely
- D) Only trading gold

240. Why do crude oil prices matter significantly for Indian markets?

- A) India has no connection to oil prices
- B) India imports most of its oil, affecting inflation, the rupee, and company costs broadly
- C) Oil prices only affect oil companies
- D) Crude oil is traded exclusively in India

241. How do US Federal Reserve decisions typically affect Indian markets?

- A) They have no effect on India
- B) They influence global interest rate expectations and FII money flows into or out of India
- C) They only affect US companies listed in India
- D) They directly set India's interest rates

242. What was GIFT Nifty formerly known as?

- A) Bombay Nifty
- B) SGX Nifty
- C) Tokyo Nifty
- D) Dubai Nifty

243. What is the key takeaway about global markets and Indian stocks?

- A) Indian markets are completely isolated from global events
- B) No market operates in isolation — checking global cues each morning is a useful habit alongside personal research
- C) Global markets have no bearing on Indian retail investors
- D) Only institutional investors need to watch global markets

LESSON 49 — Backtesting a Strategy with Historical Data

244. What does 'backtesting' mean?

- A) Predicting the future with certainty
- B) Applying a trading rule to historical data to see how it would have performed
- C) A type of stop-loss order
- D) Reading a company's balance sheet

245. What is 'overfitting' in the context of backtesting?

- A) Using too little historical data
- B) Tuning a strategy so precisely to past data that it fails on new, unseen data
- C) Testing a strategy on too many stocks
- D) A type of stock split

246. What is 'survivorship bias' in backtesting?

- A) Testing only on companies that still exist today, ignoring those that failed
- B) Only testing strategies that have already failed
- C) A bias toward large-cap stocks only
- D) A type of technical indicator

247. What is the app's Paper Trading simulator specifically useful for, according to this lesson?

- A) Guaranteeing future profits
- B) Testing an idea's discipline and behaviour across historical conditions, risk-free
- C) Replacing the need for a demat account permanently
- D) Avoiding all forms of research

248. What is the correct way to treat a great backtest result, per the lesson?

- A) As a guarantee of future profits
- B) As one serious input worth further investigation, not a guarantee
- C) As proof the strategy can never fail
- D) As irrelevant information

LESSON 50 — Capstone: Your Own Analysis Framework

249. A share represents:

- A) A loan to a company
- B) Real partial ownership in a company
- C) A government bond
- D) A type of stop-loss order

250. The P/E ratio helps answer:

- A) How many employees a company has
- B) How much you're paying for each rupee of a company's profit
- C) The company's trading volume
- D) The exchange's holiday calendar

251. A Golden Cross refers to:

- A) A shorter-term moving average crossing above a longer-term one
- B) A company's dividend announcement
- C) A type of options contract
- D) A stock exchange holiday

252. According to SEBI's own data cited in this course, most individual F&O traders:

- A) Made consistent profits
- B) Lost money overall
- C) Received government subsidies
- D) Were required to diversify by law

253. The key difference between an Option and a Futures contract is:

- A) There is no difference
- B) Options give a right without obligation; Futures obligate both parties
- C) Futures are always safer than Options
- D) Options can only be bought by institutions

254. Position sizing is best described as:

- A) Choosing which stock to buy
- B) Deciding how much capital to risk on a single trade
- C) Reading a cash flow statement
- D) A type of chart pattern

255. Loss aversion is the tendency to:

- A) Feel gains more intensely than losses
- B) Feel losses more intensely than equivalent gains
- C) Never experience any emotion while trading
- D) Only affect professional fund managers

256. A trading journal's real value comes from:

- A) Individual entries in isolation
- B) Patterns visible only when reviewing many entries together over time
- C) Its cover design
- D) Avoiding all reflection on past trades

257. GIFT Nifty is primarily used to:

- A) Set India's official interest rate
- B) Signal how the Nifty is likely to open, based on overnight global cues
- C) Replace the BSE
- D) Trade only gold and silver

258. A backtest showing excellent historical results should be treated as:

- A) A guaranteed predictor of future profits
- B) One serious input worth further scrutiny, given risks like overfitting and survivorship bias
- C) Proof a strategy can never lose money
- D) Irrelevant to real trading decisions

Part 2 — Answer Key & Explanations

LESSON 1 — What is the Stock Market?

1. What does owning a share of a company represent?

Correct answer: B) Partial ownership in the company

Like Kannan's idli-shop customers, a shareholder owns a small real slice of the company and its future profits.

2. Which two exchanges are India's main stock exchanges?

Correct answer: A) NSE and BSE

NSE (home of Nifty 50) and BSE (home of Sensex, running since 1875) are India's two principal exchanges.

3. Meera's grandmother's 1987 certificate was bought directly from the company when it first sold shares to the public. Which market did that purchase happen in?

Correct answer: A) Primary market

A company's very first sale of shares to the public is the primary market (an IPO). Trading after that is the secondary market.

4. What made Rakesh Jhunjhunwala's Titan investment famous, according to the story?

Correct answer: B) Decades of patience through ups and downs, not a clever trick

The story specifically credits long-term patience and understanding the business, not a shortcut or guaranteed formula.

5. True or False: Stock prices are affected only by a company's own performance.

Correct answer: B) False

Like mango prices in summer, broader economic conditions and overall investor mood move prices too — not just one company's results.

LESSON 2 — How Companies Raise Money

6. What are the two main ways a company raises capital?

Correct answer: A) Debt and Equity

Like Divya's bakery, a company either borrows (debt, repaid with interest) or sells ownership stakes (equity).

7. In equity financing, what does the company give up in return for capital?

Correct answer: B) A part of ownership and future profits

Just like Divya's 20%-stake partner, new shareholders permanently share in future profits and decisions.

8. Infosys's 1993 IPO was undersubscribed and had to be bailed out by an underwriter. What does this show about equity investing?

Correct answer: B) Even a company that later became hugely successful looked uncertain and risky at the time

Nobody could have guaranteed Infosys's future in 1993 — the outcome only looks obvious in hindsight, which is a lesson in itself.

9. A company chooses a large bank loan instead of issuing new shares. What's a key risk of this compared to equity?

Correct answer: A) It must repay the loan with interest regardless of business performance

Debt carries a fixed repayment obligation — due even in a bad month, unlike equity.

10. What is a Follow-on Public Offer (FPO)?

Correct answer: B) Additional new shares issued by an already-listed company

Unlike an IPO (the first-ever sale), an FPO is an already-listed company raising more money by issuing more shares.

LESSON 3 — Opening a Demat & Trading Account

11. What does a Demat account store?

Correct answer: B) Your shares/securities in electronic form

Like a bank locker, but for securities — it just holds what you own.

12. Which depository was set up in 1996 as India's first, ending the era of purely paper share certificates?

Correct answer: A) NSDL

NSDL launched in 1996, allowing shares to be held electronically (dematerialized) instead of only as paper certificates.

13. Meera has a Demat account and wants to actually place a buy order. What else does she need?

Correct answer: A) A Trading account

The Trading account is where you place orders; the Demat account only holds the shares once bought.

14. What was the 'bad delivery' problem Arjun described from the paper-share era?

Correct answer: B) Certificates being lost, forged, or damaged during transfer between buyer and seller

Physical certificates created real risks of loss, forgery and damage — a major reason dematerialization was introduced.

15. Why is nominating someone for your Demat account important?

Correct answer: B) It ensures smoother transfer of your holdings to a family member if something happens to you

As Arjun's uncle's story shows, skipping this can cost a grieving family months of extra paperwork.

LESSON 4 — Reading Bid, Ask & LTP

16. What is the 'Ask' price?

Correct answer: B) The lowest price a seller will accept

Like the vegetable seller's asking price — what sellers currently want, while bid is what buyers are offering.

17. Before 1994, how did the BSE mainly execute trades?

Correct answer: B) Open outcry — brokers shouting and signalling on a physical trading floor

Screen-based electronic trading only arrived with NSE's 1994 launch; before that, BSE relied on a shouting trading floor.

18. What does LTP stand for?

Correct answer: B) Last Traded Price

The price of the most recent completed trade — like the last tomato sale you actually witnessed.

19. A stock shows a bid of Rs. 99.50 and an ask of Rs. 99.55. What does this narrow spread suggest?

Correct answer: B) The stock is likely highly liquid, with active buyers and sellers

Just like a busy vegetable stall, a tight spread means deals are happening easily and often.

20. What does trading Volume tell you about a stock?

Correct answer: B) The level of trading activity/interest in it over a period

It simply counts how many shares changed hands — how busy that stock's 'stall' was.

LESSON 5 — What Nifty & Sensex Really Mean

21. What does a stock market index represent?

Correct answer: B) The combined performance of a selected basket of stocks

Like a class average, an index bundles many stocks together into one overall reading.

22. What triggered one of the most dramatic Sensex crashes in Indian history in 1992?

Correct answer: B) The exposure of Harshad Mehta's stock market scam

Fraudulently inflated buying pushed the Sensex up sharply, then it fell hard once the scam was exposed in April 1992.

23. Which exchange does the Sensex belong to?

Correct answer: B) BSE

Sensex is the flagship index of the Bombay Stock Exchange (BSE).

24. A beginner assumes that if Nifty is up 1%, every stock in it is also up exactly 1%. Why is this wrong?

Correct answer: B) The index is a weighted average — individual stocks can rise more, less, or even fall while the index rises overall

Just like a class average, bigger 'students' (companies) can pull the number up even while one stock falls.

25. What long-term regulatory change came out of the 1992 scam, according to the story?

Correct answer: B) SEBI was given real legal powers to regulate the market

The scandal exposed serious regulatory gaps, leading to SEBI being strengthened into the empowered regulator it is today.

LESSON 6 — Market, Limit & Stop-Loss Orders

26. Which order type guarantees execution but not the exact price?

Correct answer: B) Market Order

A market order executes immediately at the best available price, which can shift slightly in a fast-moving stock.

27. You place a Limit Order to buy at Rs. 450 or lower. The stock is currently at Rs. 460 and never falls to Rs. 450 that day. What happens?

Correct answer: B) The order simply does not execute

A limit order only executes at your specified price or better — if the market never reaches it, the order stays pending or expires.

28. What is the main purpose of a Stop-Loss order?

Correct answer: B) To automatically limit your loss if the price moves against you

It triggers an automatic sell once a price falls to a level you've pre-set, protecting you even when you're not watching.

29. What caused the October 2012 Nifty flash crash described in the story?

Correct answer: B) A dealer's mistaken ('fat-finger') order placed across many large-cap stocks

A single erroneous large order across dozens of stocks caused a sudden, sharp crash before exchanges froze and cancelled the trades.

30. Which order type would suit someone who cares more about getting a specific price than about how fast the trade happens?

Correct answer: B) Limit Order

A limit order lets you name your exact acceptable price, trading off speed for price control.

LESSON 7 — What Really Moves Stock Prices

31. According to the lesson, why did markets recover strongly in late 2020 even while many businesses were still struggling?

Correct answer: B) Lower interest rates and heavy money flows shifted expectations about the future

Markets often price in expectations, not just present-day pain — cheap money and future optimism drove the rebound.

32. What does FII stand for?

Correct answer: B) Foreign Institutional Investor

FIIs are large foreign entities whose buying and selling can move Indian markets significantly.

33. Which of these is a company-specific factor (rather than an economy-wide one)?

Correct answer: C) A company's quarterly results

Quarterly results are specific to one company's own performance, unlike broader economic or global factors.

34. Why can the same news headline sometimes barely move the market, and other times cause a sharp fall?

Correct answer: B) Overall investor mood (fear or greed) changes how the same information is received

Collective sentiment acts as a lens — the same fact can be shrugged off or cause panic depending on the prevailing mood.

35. What best describes DIIs?

Correct answer: B) Domestic Institutional Investors like mutual funds and insurers

DIIs are large India-based institutions whose fund flows are watched closely alongside FII activity. 8. Large, Mid & Small Cap Explained

LESSON 8 — Large, Mid & Small Cap Explained

36. How is market capitalization calculated?

Correct answer: B) Share price × Total number of shares

Market cap reflects the market's valuation of the entire company, based on price per share times total shares outstanding.

37. Why can two stocks with a similar share price belong to very different market-cap categories?

Correct answer: B) They can have very different total numbers of shares outstanding

Market cap depends on price multiplied by total shares — price alone says nothing about total company size.

38. According to SEBI's classification, which companies are 'Large Cap'?

Correct answer: A) The top 100 companies by market capitalisation

SEBI defines large caps strictly by market-cap rank, not by share price or any other measure.

39. What does the Eicher Motors story illustrate?

Correct answer: B) A company can move from small-cap to large-cap as its business grows over time

Eicher Motors climbed categories over two decades as Royal Enfield's business grew and investor confidence rose with it.

40. As a general pattern, how do small-cap stocks compare to large-cap stocks?

Correct answer: B) Small caps typically carry higher growth potential but also higher risk and volatility

Smaller companies can be hurt more easily by a single bad quarter or economic shift, which is the trade-off for their higher growth potential. 9. What is an IPO and How Does It Work

LESSON 9 — What is an IPO and How Does It Work

41. What mechanism blocks (rather than immediately deducts) your money when you apply for an IPO?

Correct answer: B) ASBA (Application Supported by Blocked Amount)

ASBA blocks the amount in your bank account and only debits it if shares are actually allotted to you.

42. What does GMP (Grey Market Premium) represent?

Correct answer: B) An unofficial, unregulated estimate of listing-day demand

GMP is an informal, outside-the-exchange indicator — not an official or guaranteed number, and often unreliable.

43. What happened to Paytm's stock on its 2021 listing day, according to the story?

Correct answer: B) It opened well below its issue price and kept falling afterward

Despite huge hype, Paytm listed at a steep discount and continued falling, surprising many retail investors.

44. Why should you check what an IPO's funds will be used for?

Correct answer: B) Paying off old debt is a very different signal from funding genuine business growth

How a company plans to use IPO proceeds tells you a lot about its financial health and growth intentions.

45. What is the main lesson from the Paytm IPO story?

Correct answer: B) Hype and popularity are not the same as a company's actual value or profitability

Massive public interest didn't protect Paytm's stock from a sharp post-listing fall — fundamentals matter more than buzz. 10. Trading Hours, Holidays & Settlement

LESSON 10 — Trading Hours, Holidays & Settlement

46. What are the normal trading hours for NSE and BSE on a working day?

Correct answer: A) 9:15 AM to 3:30 PM

This is the regular trading session, preceded by a short pre-open session from 9:00-9:08 AM.

47. What is Muhurat Trading?

Correct answer: B) A symbolic one-hour Diwali trading session considered auspicious

It's a cultural tradition on Diwali evening, more symbolic than a serious trading opportunity, dating back to BSE's early years.

48. What does T+1 settlement mean?

Correct answer: B) A trade is fully settled the next working day after execution

Indian markets moved to a T+1 cycle, meaning shares and money change hands the working day after the trade.

49. What is the purpose of the pre-open session (9:00-9:08 AM)?

Correct answer: B) To help set a fair opening price before regular trading begins

The pre-open session collects orders to discover a fair starting price, reducing volatility at the market open.

50. Why does settlement timing matter practically for an investor?

Correct answer: B) Money from a sale isn't usable the instant you click sell — it follows the T+1 cycle

If you plan to use sale proceeds elsewhere quickly, you need to account for the settlement delay. 11. Volume and Liquidity Explained

LESSON 11 — Volume and Liquidity Explained

51. What does trading 'volume' measure?

Correct answer: B) The number of shares that changed hands in a given period

Volume tracks how many shares were actually bought and sold, not price or company size.

52. What does 'liquidity' refer to in stock trading?

Correct answer: B) How easily a stock can be bought or sold without significantly moving its price

Liquidity is about ease of trading — highly liquid stocks can absorb large orders with minimal price impact.

53. What did SEBI do in 2017 regarding suspected 'shell' companies?

Correct answer: B) Restricted trading in over 300 companies suspected of being shell entities with manipulated, illiquid trading

SEBI acted against companies with minimal real business and suspiciously low, manipulated trading activity.

54. Why can a barely-moving share price actually be a warning sign rather than a sign of stability?

Correct answer: B) It can indicate very low liquidity, meaning almost nobody is trading the stock

As Paati explains, a quiet chart can simply mean there's no real trading activity — not genuine price stability.

55. What is one warning sign of poor liquidity mentioned in the lesson?

Correct answer: C) A wide gap between the best buy and sell price on the order book

A wide bid-ask spread signals few active traders, making it costly to enter or exit the stock. 12. Common Beginner Mistakes to Avoid

LESSON 12 — Common Beginner Mistakes to Avoid

56. According to a SEBI study cited in the lesson, roughly what proportion of individual F&O (derivatives) traders lost money overall?

Correct answer: C) About 9 out of 10

SEBI's study found the large majority of individual derivatives traders lost money over the period studied.

57. What is the risk of 'trading on tips' instead of research?

Correct answer: B) You end up acting on information you haven't verified or understood yourself

Acting on unverified tips means you don't actually understand what you're investing in or why.

58. Why is 'no stop-loss' considered a common beginner mistake?

Correct answer: B) Without one, investors often hold falling stocks hoping for a recovery, with no defined exit plan

A predefined exit plan prevents small losses from turning into much larger ones.

59. What does 'chasing past returns' mean?

Correct answer: B) Buying a stock mainly because its price already rose a lot, not because of its current value

Past performance alone doesn't indicate a stock is still a good buy — this is a common trap for beginners.

60. What does SEBI's finding mainly caution against, according to the lesson?

Correct answer: B) Frequent, high-risk derivatives trading without adequate knowledge or risk control

The lesson distinguishes disciplined long-term investing from frequent, undisciplined derivatives trading, which the data shows is far riskier. 13. Risk vs Reward: The First Rule

LESSON 13 — Risk vs Reward: The First Rule

61. What is the fundamental relationship between risk and reward in investing?

Correct answer: A) Higher reward potential usually comes with higher risk

This is the core trade-off in all investing — the two move together, not independently.

62. What ultimately happened to Kingfisher Airlines, as described in the lesson?

Correct answer: B) It grounded all flights permanently in 2012 after mounting debt and losses

Despite early excitement and high investor interest, the company collapsed under debt, wiping out shareholder value.

63. How does diversification help manage risk?

Correct answer: B) It ensures one company's failure only affects a small part of your overall portfolio

Spreading investments means no single bad outcome, even a total loss like Kingfisher, wipes out your entire portfolio.

64. Why should money needed within 1 year generally be kept in safer investments than money needed in 15 years?

Correct answer: B) A shorter time horizon gives less time to recover from a downturn before the money is needed

Time horizon affects how much risk is appropriate — less time means less room to recover from a temporary fall.

65. What should you think if someone promises 'guaranteed high returns' in the stock market?

Correct answer: B) They are either misinformed or being misleading, since no such guarantee is possible

The stock market carries inherent risk — no legitimate source can guarantee high returns with certainty. 14. Start Small, Build Confidence

LESSON 14 — Start Small, Build Confidence

66. What is a SIP (Systematic Investment Plan)?

Correct answer: B) A small, fixed amount invested automatically every month

SIPs automate regular, disciplined investing in fixed amounts, typically into mutual funds.

67. What has driven India's SIP contributions to grow to over Rs. 20,000 crore a month, according to the lesson?

Correct answer: B) Ordinary retail investors contributing small, consistent monthly amounts

The growth has been driven overwhelmingly by individual retail investors, not large institutions.

68. Why does the lesson suggest starting with small investment amounts?

Correct answer: B) Mistakes cost less while you're still learning your own habits and temperament

Starting small limits the cost of early mistakes while you build real experience and judgment.

69. What is the recommended first step before investing real money, according to the lesson?

Correct answer: B) Practice with the app's Paper Trading simulator using virtual money

Paper trading lets you practice with real historical data and no real financial risk before committing real money.

70. According to the lesson, what matters more for long-term success: consistency or occasional large bets?

Correct answer: B) Consistency — small, regular amounts invested over years

The SIP boom demonstrates that steady, disciplined investing tends to outperform occasional large, emotional bets. 15. Glossary Review & Self-Check

LESSON 15 — Glossary Review & Self-Check

71. A shareholder owns:

Correct answer: B) Partial ownership in the company

Owning a share means owning a small real piece of the company, as Lesson 1 established.

72. An IPO takes place in the:

Correct answer: B) Primary market

The very first sale of shares to the public happens in the primary market.

73. Which order type activates only if the price moves against you?

Correct answer: C) Stop-Loss Order

A stop-loss automatically triggers a sell to cap losses if the price falls to a set level.

74. Market capitalization is calculated as:

Correct answer: B) Share price × total shares

This reflects the market's total valuation of the whole company.

75. T+1 settlement means a trade is fully settled:

Correct answer: B) The next working day

Indian markets settle trades one working day after execution.

76. According to SEBI's own study cited in this book, most individual F&O traders:

Correct answer: B) Lost money overall

Roughly 9 out of 10 individual F&O traders lost money, underlining the risk of frequent, undisciplined trading.

77. Diversification mainly helps by:

Correct answer: B) Reducing the impact of any single investment's failure on your whole portfolio

Spreading investments limits the damage from any one bad outcome, as the Kingfisher story showed.

78. A SIP (Systematic Investment Plan) is best described as:

Correct answer: B) A small, fixed amount invested automatically at regular intervals

SIPs build wealth through small, consistent, automated investments over time.
INTERMEDIATE 16. Reading a Balance Sheet

LESSON 16 — Reading a Balance Sheet

79. What does a balance sheet show?

Correct answer: B) What a company owns, owes, and what's left over for owners

It's a snapshot of assets, liabilities, and shareholders' equity at one point in time.

80. What is the fundamental balance sheet equation?

Correct answer: A) Assets = Liabilities + Shareholders' Equity

This equation must always hold true — it's the structural basis of a balance sheet.

81. What went wrong with IL&FS, according to the story?

Correct answer: B) It built up large, poorly disclosed debt against hard-to-sell assets, then defaulted

Its liabilities quietly outgrew its ability to service them, despite an impressive-looking asset base.

82. What does 'shareholders' equity' represent?

Correct answer: B) What's left for owners after subtracting liabilities from assets

Equity is the company's real net worth belonging to shareholders.

83. What broader effect did the IL&FS default have on Indian markets?

Correct answer: B) It triggered a liquidity crunch across the NBFC sector

Many institutions had lent to or invested alongside IL&FS, spreading the shock across non-banking finance companies. 17. Reading a Profit & Loss Statement

LESSON 17 — Reading a Profit & Loss Statement

84. What does the 'bottom line' of a P&L statement refer to?

Correct answer: B) Net profit, after all expenses, interest, and tax

The bottom line is what's genuinely left for the company after every cost is accounted for.

85. Why can a company's revenue grow while its profit shrinks or turns negative?

Correct answer: B) Heavy spending on discounts, marketing, or expansion can grow revenue while eating into profit

This is exactly what several new-age Indian listings experienced — fast revenue growth alongside continued losses.

86. What does EBITDA represent?

Correct answer: B) Operating profit before interest, tax, depreciation, and amortisation

EBITDA isolates core operating performance before these other financial factors.

87. What should investors check alongside a company's revenue growth, according to the lesson?

Correct answer: B) The margin (profit as a percentage of revenue) trend

Margins reveal whether growing revenue is translating into genuine profitability.

88. What pattern did several new-age Indian companies show after their IPOs, according to the story?

Correct answer: B) Strong revenue growth alongside continued losses for years

Many prioritised growth and market share over near-term profitability, surprising investors who only tracked revenue. 18. Reading a Cash Flow Statement

LESSON 18 — Reading a Cash Flow Statement

89. What did Ramalinga Raju admit to in the 2009 Satyam scandal?

Correct answer: B) Falsifying the company's accounts, including a cash balance that didn't exist

The company had reported a cash and bank balance of over Rs. 5,000 crore that was entirely fictitious.

90. Why is the cash flow statement considered harder to fake than the profit figure?

Correct answer: B) Actual cash movements leave a more verifiable trail than accounting profit does

This is why serious investors give the cash flow statement particular weight when checking a company's health.

91. Which of these is an 'Operating Activity' on a cash flow statement?

Correct answer: B) Cash generated from the company's core business

Operating activities relate directly to the day-to-day business, unlike investing or financing activities.

92. How can a company report profit on paper while its actual cash shrinks?

Correct answer: B) Sales made on credit can count as profit before the customer actually pays

Accounting profit can include revenue not yet received in cash, creating a gap between reported profit and real cash.

93. What is considered one of the healthiest signs of a sustainable business, per the lesson?

Correct answer: B) Consistently strong operating cash flow, growing alongside reported profit

When cash flow and profit move together, it's a strong signal the business's numbers are real. 19. Key Ratios: The P/E Ratio

LESSON 19 — Key Ratios: The P/E Ratio

94. How is the P/E ratio calculated?

Correct answer: B) Share Price ÷ Earnings Per Share

P/E shows how many times a company's per-share earnings you're paying at the current price.

95. What happened to many Indian IT stocks during the 1999-2000 dot-com boom, according to the story?

Correct answer: B) They traded at P/E ratios above 100, sometimes above 200

Investors paid extremely high multiples of profit, betting heavily on future growth that didn't justify such levels.

96. Why isn't a low P/E automatically a 'good buy'?

Correct answer: B) It can also reflect genuine, valid concerns the market has about that business

A low P/E can mean a bargain, or it can mean the market correctly sees real risk in the business.

97. Why should P/E ratios generally be compared within the same sector?

Correct answer: B) Different sectors have different normal P/E ranges based on their typical growth and risk

A 'high' P/E in one sector can be entirely normal in a faster-growing or different-risk sector.

98. What ultimately happened when the dot-com bubble burst in 2001?

Correct answer: B) Many high-P/E stocks fell 80-90% or more from their peaks

Prices collapsed back toward levels more in line with actual earnings once the growth hype faded. 20. P/B, ROE & Debt-to-Equity

LESSON 20 — P/B, ROE & Debt-to-Equity

99. What does a Price-to-Book (P/B) ratio below 1 typically suggest?

Correct answer: B) The market values the company at less than its stated net worth

This often signals market doubts about the true quality of the company's assets or future returns.

100. What does Return on Equity (ROE) measure?

Correct answer: B) How efficiently a company turns shareholders' money into profit

ROE expresses net profit as a percentage of shareholders' equity, showing capital efficiency.

101. What does a high Debt-to-Equity (D/E) ratio indicate?

Correct answer: B) The company relies heavily on borrowed money, which is riskier in a downturn

Debt must be repaid regardless of business performance, unlike equity, making high D/E riskier in tough times.

102. According to the story, why did many PSU banks trade at a P/B below 1 in the mid-2010s?

Correct answer: B) Rising bad loans (NPAs) hurt profitability and investor confidence in their true book value

Bad-loan stress made investors doubt the real value behind the reported book value, pushing P/B below 1.

103. What is the key lesson about using P/B, ROE, and D/E together?

Correct answer: B) Reading them together gives a more complete, reliable picture than any single ratio alone

The PSU bank story shows how low P/B, weak ROE, and high D/E together painted a consistent picture of real distress. 21. Earnings Per Share (EPS)

LESSON 21 — Earnings Per Share (EPS)

104. How is EPS (Earnings Per Share) calculated?

Correct answer: A) Net Profit ÷ Total Number of Outstanding Shares

EPS converts total company profit into a comparable per-share figure.

105. Why is comparing two companies' total profit alone misleading?

Correct answer: B) Companies can have very different numbers of shares outstanding, changing the per-share value

A smaller total profit split among fewer shares can mean a higher EPS than a larger profit split among many more shares.

106. What can cause EPS to fall even if a company's actual business performance hasn't changed?

Correct answer: B) A bonus share issue, which increases share count without changing total profit

More shares outstanding mechanically lowers EPS, even with identical total profit.

107. What does EPS allow investors to do?

Correct answer: B) Compare companies on a comparable, per-share basis rather than by raw total profit

EPS puts differently-sized companies on the same per-share footing for fair comparison.

108. Why should you understand *why* EPS changed before reacting to it?

Correct answer: B) A fall from a bonus issue is very different news from a fall due to a bad quarter

The cause behind an EPS move determines whether it's actually a concerning signal or a harmless mechanical effect.

LESSON 22 — Introduction to Fundamental Analysis

109. What core question does fundamental analysis try to answer?

Correct answer: B) Is this a genuinely good business, and is the price fair for owning a piece of it?

Fundamental analysis is about judging real business quality and value, not short-term price behaviour.

110. Which of these is a 'qualitative' factor in fundamental analysis (rather than a number from a financial statement)?

Correct answer: B) Management quality and competitive position

These are judgment-based factors that complement the hard numbers from financial statements and ratios.

111. What made HDFC Bank's multi-decade growth story notable, according to the lesson?

Correct answer: B) Steady, unglamorous, consistent fundamentals sustained over decades

Consistent, careful performance over a very long period — not a single dramatic event — drove its rise.

112. Fundamental analysis is generally best suited to which kind of investing approach?

Correct answer: B) Slower, research-heavy investing meant for holding over years

It requires patience to let a genuinely good business's value show up in returns over time.

113. Fundamental analysis combines which of the following?

Correct answer: B) Financial statements, valuation ratios, and qualitative business factors together

It's the synthesis of everything learned about a business's numbers and qualitative strength into one judgment.

LESSON 23 — Introduction to Technical Analysis

114. What is the core assumption of technical analysis?

Correct answer: B) Price already reflects known information, and moves in identifiable, psychology-driven patterns

Technical analysts believe price action itself, shaped by crowd behaviour, contains useful patterns.

115. What happened when Nifty crossed 10,000 in July 2017?

Correct answer: B) It was followed by a fresh wave of buying interest around a closely watched psychological level

Round, symbolic price levels can genuinely influence trader behaviour, a key technical-analysis concept.

116. How does technical analysis differ from fundamental analysis?

Correct answer: B) Technical analysis studies price and trading behaviour; fundamental analysis studies the underlying business

They are two distinct lenses — one on the business, one on the price action itself.

117. According to the lesson, how do many experienced investors combine both approaches?

Correct answer: B) Fundamentals to decide what to buy, technicals to help decide when

This is a common practical combination — business quality guides the choice, price action can help time the entry.

118. What does the technical-analysis idea 'history tends to rhyme' suggest?

Correct answer: B) How a stock behaved at a similar price level before can offer useful (not guaranteed) clues

Technical analysis treats past price behaviour as informative, not as a certain predictor of the future. 24. Candlestick Charts: The Basics

LESSON 24 — Candlestick Charts: The Basics

119. Who is credited with developing the earliest candlestick charting method?

Correct answer: B) Munehisa Homma, an 18th-century Japanese rice trader

He developed this visual price-tracking method at the Dojima Rice Exchange in Japan, long before modern stock markets.

120. What does the color of a candlestick typically indicate?

Correct answer: B) Whether the price closed higher (green) or lower (red) than it opened

Color gives an instant visual read on whether that period was net positive or negative for price.

121. What do the thin lines ('wicks') on a candlestick represent?

Correct answer: B) The highest and lowest prices reached during that period

Wicks show the full price range explored during the period, beyond just open and close.

122. What key information does a plain line chart typically leave out that a candlestick includes?

Correct answer: B) The full range of price movement (open, high, low) within each period

A line chart usually plots only closing prices, hiding the intra-period volatility a candlestick reveals.

123. Roughly how old is the candlestick charting method, according to the lesson?

Correct answer: B) Traces back to 18th-century Japanese rice trading

It's one of the oldest market-analysis tools still in common use today, largely unchanged. 25. Chart Types: Line, Bar & Candlestick

LESSON 25 — Chart Types: Line, Bar & Candlestick

124. What does a line chart typically plot?

Correct answer: B) Only the closing price over time

Line charts connect closing prices, giving a simple view of overall direction while omitting intra-period detail.

125. What information does a Bar (OHLC) chart show?

Correct answer: B) Open, High, Low, and Close for each period

A bar chart carries the same OHLC information as a candlestick, just in a different visual shape.

126. How does a candlestick chart's information compare to a bar chart's?

Correct answer: B) They show the same OHLC data, just in a more visually intuitive, color-coded shape

Both formats plot identical Open/High/Low/Close data — the difference is purely visual readability.

127. Which chart type is best suited for quickly spotting a stock's overall long-term direction, with less detail?

Correct answer: B) Line chart

Its simplicity makes overall trend direction easy to see, at the cost of hiding intra-period detail.

128. What is the main takeaway about the three chart types discussed?

Correct answer: B) They all plot the same underlying price data, differing mainly in detail and readability

The choice between them is about preference and how much detail you want to see, not about differing accuracy. 26. Support and Resistance Levels

LESSON 26 — Support and Resistance Levels

129. What is a 'support' level?

Correct answer: B) A price floor where buying interest has historically stopped a fall

Support is where buyers have repeatedly stepped in to halt declines and push price back up.

130. What is a 'resistance' level?

Correct answer: B) A price ceiling where selling interest has historically stopped a rise

Resistance is where sellers have repeatedly capped further gains, until it's eventually broken.

131. What happened to the Sensex's 40,000 level after it was finally broken, according to the concept described?

Correct answer: B) It could flip and start acting as a support level on future pullbacks

A broken resistance often becomes the new support, a common pattern in technical analysis.

132. Why do support and resistance levels form?

Correct answer: B) Many traders remember and act similarly around the same past price points, creating a self-reinforcing pattern

Collective trader behavior around familiar price levels is what creates these patterns, not any fixed rule.

133. Are support and resistance levels guaranteed to hold every time?

Correct answer: B) No — they reflect historical tendencies, not a guaranteed physical law

These levels can and do break, as the Sensex eventually broke through 40,000 — they're tendencies, not certainties. 27. Moving Averages Explained

LESSON 27 — Moving Averages Explained

134. What is the main purpose of a moving average?

Correct answer: B) To smooth out short-term price noise and reveal the underlying trend

By averaging price over a set period, day-to-day jumpiness is smoothed into a clearer trend line.

135. What is the key difference between an SMA and an EMA?

Correct answer: B) EMA gives more weight to recent days, reacting faster to new price changes than SMA

SMA weighs all days in the period equally, while EMA emphasizes more recent price action.

136. What is a 'Golden Cross'?

Correct answer: A) A shorter-term moving average crossing above a longer-term one, watched as a bullish signal

It's a widely-followed technical signal suggesting strengthening upward momentum.

137. What happened with Nifty's moving averages after the March 2020 crash, according to the story?

Correct answer: A) The 50-day MA crossed back above the 200-day MA, a Golden Cross, aligning with market recovery

This real, well-documented crossover lined up with the market's broader recovery through 2020.

138. Does a Golden Cross or Death Cross guarantee future price movement?

Correct answer: B) No, they are widely-watched signals, not certainties

Like all technical signals, they indicate tendencies and are widely followed, but never guarantee an outcome. 28. Sectors and Sector Rotation

LESSON 28 — Sectors and Sector Rotation

139. What does the term 'sector' refer to in investing?

Correct answer: B) A group of companies in the same type of business, like IT or banking

Sectors group companies facing similar business forces and economic sensitivities.

140. What is 'sector rotation'?

Correct answer: B) The tendency of investor money to shift between sectors as economic conditions change

Investors reallocate between sectors as growth expectations, interest rates, and the economic cycle shift.

141. Why did IT stocks outperform during 2020-21 lockdowns, according to the story?

Correct answer: B) Global demand for digitisation surged as businesses adapted to remote work

The pandemic-driven shift to remote work and digital services directly boosted IT sector demand.

142. What tends to happen to investor attention as an economy reopens and grows more confidently, based on the lesson?

Correct answer: B) It often rotates toward cyclical sectors like banking and auto tied to everyday economic activity

As growth conditions improve, cyclical sectors tend to attract more investor interest.

143. What is the main lesson from the IT-to-banking rotation example?

Correct answer: B) No single sector leads forever — performance often shifts as conditions change

This real rotation shows how sector leadership can shift with changing economic conditions, not company-specific failure. 29. Inflation & Interest Rates vs Markets

LESSON 29 — Inflation & Interest Rates vs Markets

144. What is the primary reason the RBI raises interest rates?

Correct answer: B) To manage inflation

The RBI's key policy rate decisions primarily target inflation, though they have ripple effects on markets too.

145. How do higher interest rates generally affect stock markets?

Correct answer: B) They tend to weigh on stocks by raising borrowing costs and making bonds/FDs relatively more attractive

Higher rates increase costs for companies and make safer fixed-income alternatives more appealing versus stocks.

146. What global event worsened inflation in 2022, according to the lesson?

Correct answer: B) The Russia-Ukraine war's effect on energy and food prices

The war significantly disrupted global energy and food supplies, worsening inflation worldwide, including in India.

147. How can rising inflation directly hurt company profits?

Correct answer: B) It can squeeze margins if companies can't fully pass higher costs on to customers

Rising costs that can't be passed on directly reduce a company's profit margins.

148. What does the 2022 rate-hike example mainly illustrate?

Correct answer: B) Economy-wide forces like interest rates can move markets broadly, regardless of individual company performance

Even companies with good results saw stock declines during this period, showing the power of macro forces. 30. Diversification: Beyond One Basket

LESSON 30 — Diversification: Beyond One Basket

149. Why wasn't Meera's portfolio of ten stocks truly diversified, according to the lesson?

Correct answer: B) All ten stocks were tied to the same underlying sector (banking and finance)

True diversification requires spreading across genuinely different exposures, not just different company names in the same sector.

150. What happened to many 'diversified' stock portfolios during the 2008 Global Financial Crisis?

Correct answer: B) Nearly everything fell together, since the crisis hit the global financial system broadly

A systemic shock like 2008 affected almost every sector and market simultaneously, exposing shallow diversification.

151. According to the lesson, what helped investors weather the 2008 crisis better?

Correct answer: B) Also holding other asset classes like bonds, gold, and cash alongside stocks

These other asset classes don't always move in the same direction as stocks during a systemic shock.

152. Which of these is an example of diversifying 'within stocks'?

Correct answer: B) Spreading investments across different sectors and market-cap sizes

This is diversification within the stock asset class itself, as opposed to diversifying across asset classes.

153. What is the key takeaway about diversification from this lesson?

Correct answer: B) Real diversification requires spreading across genuinely different exposures and asset classes, not just company names

The 2008 crisis proved that shallow diversification within one asset class can fail when systemic risk hits everything at once. 31. Building a Simple Portfolio Structure

LESSON 31 — Building a Simple Portfolio Structure

154. What should determine a portfolio's structure, according to the lesson, before picking individual stocks?

Correct answer: B) Your own goals and time horizon

Portfolio structure should be built around when you'll need the money and what you're investing for.

155. Why might money needed in 2 years belong mostly in safer instruments?

Correct answer: B) There's less time to recover from a downturn before the money is needed

A short time horizon leaves little room to ride out a temporary equity downturn.

156. What is a common simple starting framework for asset allocation, per the lesson?

Correct answer: B) Splitting across equity, debt, and a small gold/cash allocation

This broad-based split, tailored to individual risk comfort, is a common practical starting point.

157. How often does the lesson suggest reviewing and rebalancing a portfolio?

Correct answer: B) Periodically, such as every 6-12 months

Periodic review avoids both neglect and the pitfalls of reacting to every daily headline.

158. What is the main point of 'Step 3 — Diversify Within Each Bucket'?

Correct answer: B) No single stock or fund should be large enough that its failure alone derails your plan

Even within an asset class, spreading risk protects against any single holding's failure. 32. Dividends: How Companies Share Profits

LESSON 32 — Dividends: How Companies Share Profits

159. What is a dividend?

Correct answer: B) A portion of a company's profit distributed directly to shareholders

Dividends are the company sharing its profit directly with its owners, the shareholders.

160. Are companies legally required to pay dividends?

Correct answer: B) No — many companies choose to reinvest all profit into the business instead

Dividend payment is a company choice, not a legal obligation — growth-focused firms often reinvest profits instead.

161. How is Dividend Yield calculated?

Correct answer: B) Annual dividend per share ÷ Share price

Dividend yield measures dividend income as a percentage of what you paid for the share.

162. What must you do to qualify for a company's dividend, based on the Record Date?

Correct answer: B) Own the shares by the record date

You must be a shareholder of record by that specific date to receive the declared dividend.

163. What does ITC's decades-long dividend history illustrate, according to the lesson?

Correct answer: B) Some companies can be reliable, long-term sources of steady dividend income across different economic environments

ITC is a widely cited real example of long-term dividend consistency through varied economic conditions. 33. Splits, Bonus Shares & Buybacks

LESSON 33 — Splits, Bonus Shares & Buybacks

164. What happens to your total investment value in a stock split?

Correct answer: B) It stays the same — you hold more shares at a proportionally lower price each

A split changes the share count and price proportionally, leaving total value unchanged.

165. What are bonus shares?

Correct answer: B) Additional free shares issued to existing shareholders in a fixed ratio

Bonus shares are issued for free from company reserves, proportionally to existing holdings.

166. What is a share buyback?

Correct answer: B) The company repurchasing its own shares, reducing total shares outstanding

Buybacks reduce the share count, often boosting per-share metrics like EPS.

167. Why has MRF's share price remained extremely high compared to most Indian large-caps?

Correct answer: B) It has never split its stock, unlike most other large companies

Unlike peers who split shares for affordability, MRF has kept a single, very high share price.

168. Do stock splits, bonus issues, and buybacks change a company's fundamental underlying value?

Correct answer: B) No — they change the share count and/or price, not the fundamental value

These corporate actions are mechanical changes to share structure, not changes to the business's actual worth. 34. Mutual Funds vs Direct Stock Investing

LESSON 34 — Mutual Funds vs Direct Stock Investing

169. What does the SPIVA India study regularly compare?

Correct answer: B) Actively managed Indian equity mutual funds against their benchmark indices

SPIVA India tracks how well professionally managed funds perform relative to simple benchmark indices like the Nifty.

170. What has the SPIVA India study generally found about actively managed large-cap funds?

Correct answer: B) A significant majority have failed to beat their benchmark index over longer periods

This is a well-documented, data-backed finding that has shaped many investors' preference for index funds.

171. What is a key advantage of direct stock investing over mutual funds?

Correct answer: B) Full control and no fund management fees

Direct investing avoids expense ratios and gives the investor full control over stock selection.

172. What is the 'expense ratio' in the context of mutual funds?

Correct answer: B) The ongoing management fee that reduces mutual fund returns over time

This fee is deducted regularly and can meaningfully affect long-term returns.

173. According to the lesson, how do many experienced investors combine both approaches?

Correct answer: B) Direct stocks for researched companies, mutual funds for broad, low-effort diversification

This blended approach leverages the strengths of both direct investing and professionally managed diversification.

LESSON 35 — Introduction to ETFs

174. What is an ETF (Exchange-Traded Fund)?

Correct answer: B) A fund holding a basket of assets that trades on the exchange like a regular share

ETFs combine diversified holdings with the trading flexibility of an individual stock.

175. What was Nifty BeES, mentioned in the story?

Correct answer: B) India's first ETF, launched in the early 2000s to track the Nifty 50

It was a pioneering Indian ETF, showing this investment type has existed in India for over two decades.

176. How does ETF trading differ from regular mutual fund trading?

Correct answer: B) ETFs trade continuously during market hours at live prices; mutual funds trade once a day at end-of-day NAV

This is a key structural difference — ETFs offer intraday trading flexibility unlike traditional mutual funds.

177. How do most ETF expense ratios generally compare to actively managed mutual funds?

Correct answer: B) Most ETFs, especially index-tracking ones, tend to have lower expense ratios

Passive index-tracking generally costs less to manage than active stock-picking, reflected in lower fees.

178. What kinds of assets can Indian ETFs track today, beyond just Nifty/Sensex?

Correct answer: B) Gold, specific sectors, and international indices, among others

The Indian ETF market has expanded well beyond simple broad-index trackers to cover many asset types. ADVANCED 36. Chart Patterns: Head & Shoulders, Triangles

LESSON 36 — Chart Patterns: Head & Shoulders, Triangles

179. What does a Head & Shoulders pattern typically signal?

Correct answer: B) A possible reversal of the current uptrend

The pattern is watched as an early warning that upward momentum may be fading and reversing.

180. What generally happens with a Triangle pattern?

Correct answer: B) Price narrows into a tighter range before often continuing its prior trend on breakout

Triangles are typically viewed as continuation patterns, with a breakout suggesting the prior trend may resume.

181. Who formally catalogued patterns like Head & Shoulders in their influential 1948 book?

Correct answer: A) Robert Edwards and John Magee

Their book 'Technical Analysis of Stock Trends' remains a foundational, widely cited reference for chart pattern analysis.

182. Roughly how old are the ideas behind modern chart pattern analysis, according to the lesson?

Correct answer: B) Rooted in ideas dating back to the late 1800s and formally catalogued by 1948

The lesson traces the lineage from Charles Dow through Schabacker, Edwards, and Magee.

183. What is the key takeaway about using chart patterns?

Correct answer: B) They suggest tendencies based on collective behaviour, best used alongside risk management, not alone

Like all technical tools in this course, patterns indicate probabilities, not certainties. 37. RSI Indicator Explained

LESSON 37 — RSI Indicator Explained

184. Who introduced the RSI indicator, and when?

Correct answer: A) J. Welles Wilder Jr., in 1978

Wilder introduced RSI in his book 'New Concepts in Technical Trading Systems,' and it remains widely used today.

185. What scale does RSI use?

Correct answer: B) 0 to 100

RSI is a bounded oscillator scaled from 0 to 100, unlike unbounded price-based indicators.

186. What does an RSI reading above 70 often suggest?

Correct answer: B) The stock may be 'overbought' and due for a possible pause or pullback

High RSI readings suggest a stretched, possibly unsustainable recent price move, though not a guaranteed reversal.

187. What does an RSI reading below 30 often suggest?

Correct answer: A) The stock may be 'oversold' and due for a possible bounce

Low RSI readings suggest the price may have fallen unusually sharply relative to recent history.

188. Can a stock with an 'overbought' RSI reading continue rising further?

Correct answer: B) Yes — RSI indicates a stretched move, not a guaranteed reversal, especially in a strong trend

RSI is one input among many — an overbought reading can persist through a genuinely strong trend. 38. MACD Indicator Explained

LESSON 38 — MACD Indicator Explained

189. Who developed the MACD indicator?

Correct answer: A) Gerald Appel, in the late 1970s

Appel designed MACD to track trend strength and momentum using two moving averages.

190. What does the MACD 'histogram' show?

Correct answer: B) The gap between the MACD line and the signal line

The histogram visualizes the distance between these two lines, with widening bars suggesting strengthening momentum.

191. What is generally considered a bullish MACD signal?

Correct answer: B) The MACD line crossing above the signal line

This crossover is commonly read as a signal of strengthening upward momentum.

192. How is MACD conceptually related to the Golden Cross/Death Cross idea from Lesson 27?

Correct answer: B) Both are based on the relationship between moving averages crossing each other

MACD extends the moving-average crossover idea using faster-reacting exponential moving averages.

193. What is the key takeaway about using MACD?

Correct answer: B) It's a signal to weigh alongside other tools, not a standalone decision-maker

Like RSI, MACD is best used as one input within a broader, well-rounded analysis.

LESSON 39 — Bollinger Bands & Volatility

194. What do Bollinger Bands primarily measure?

Correct answer: B) A stock's volatility

Unlike RSI or MACD, Bollinger Bands are specifically designed to visualize volatility, not just direction.

195. What happens to Bollinger Bands during a volatile period?

Correct answer: B) They widen

The bands are built to expand automatically as recent price volatility increases.

196. What does a Bollinger Band 'squeeze' (narrowing bands) often suggest?

Correct answer: B) A period of unusually low volatility that has often preceded a sharp price move

Low volatility periods are often watched as a precursor to a bigger move, in either direction.

197. Who developed Bollinger Bands?

Correct answer: A) John Bollinger, in the early 1980s

Bollinger created this tool specifically to visualize volatility around a moving average.

198. Why is combining Bollinger Bands with RSI or MACD useful, per the lesson?

Correct answer: B) It combines a volatility view with a momentum view for a fuller technical picture

Each indicator captures a different dimension of price behaviour, and combining them gives more complete context. 40. Introduction to Options: Calls & Puts

LESSON 40 — Introduction to Options: Calls & Puts

199. What does buying an Option contract give you?

Correct answer: B) The right, but not the obligation, to buy or sell at a fixed price before expiry

This right-without-obligation feature is the defining characteristic of an options contract.

200. What is a 'Call' option?

Correct answer: B) The right to buy at the strike price

Call buyers generally expect the underlying price to rise above the strike price.

201. What is the 'premium' in options trading?

Correct answer: B) The fee paid to buy an options contract

The premium is the cost paid upfront by the option buyer for that contract's rights.

202. When was options trading formally introduced on Indian exchanges?

Correct answer: A) 2001

This launched what has since become one of the world's largest options markets by contract volume.

203. Why does this lesson emphasize 'concepts only'?

Correct answer: B) Options carry complex risk, and SEBI data shows most retail F&O traders lose money overall

Understanding the vocabulary is very different from being genuinely prepared to trade options, given the real risk data. 41. Introduction to Futures Contracts

LESSON 41 — Introduction to Futures Contracts

204. What is the key obligation difference between a Futures contract and an Option?

Correct answer: B) In Futures, both buyer and seller are obligated to transact; in Options, the buyer has a right but no obligation

This obligation distinction is the core structural difference between the two derivative types.

205. When were index futures introduced in India?

Correct answer: A) June 2000, by NSE

Index futures were India's first exchange-traded derivative product, launched a year before options.

206. Why can a Futures position carry uncapped potential losses, unlike buying an Option?

Correct answer: A) Futures obligate both parties to the full contract, unlike an option buyer who can simply let it expire

An option buyer's maximum loss is the premium paid; a futures position carries no such natural cap.

207. Who commonly uses futures contracts, according to the lesson?

Correct answer: B) Both institutions (for hedging) and increasingly retail traders

Futures serve both institutional hedging needs and retail speculative trading, though with real risk for the latter.

208. Why does the lesson stress disciplined risk management specifically for futures?

Correct answer: B) Because potential losses are uncapped, unlike an option buyer's premium-limited risk

The obligation built into futures contracts means losses can exceed what was initially committed, demanding extra caution. 42. Position Sizing & Risk Management

LESSON 42 — Position Sizing & Risk Management

209. What is 'position sizing'?

Correct answer: B) Deciding how much capital to risk on a single trade or investment

Position sizing is a distinct discipline from stock selection — it's about how much to commit, not what to commit to.

210. What ultimately went wrong with LTCM in 1998, according to the story?

Correct answer: B) They took on positions too heavily leveraged relative to their capital, and market shocks nearly collapsed the fund

Excessive leverage and position sizing, not necessarily bad analysis, drove the near-collapse.

211. What percentage of capital do many risk-conscious traders commonly cap a single trade's potential loss at?

Correct answer: B) Around 1-2%

This widely-cited guideline helps ensure no single trade can meaningfully damage overall capital.

212. What tool is commonly used to enforce a position-sizing risk cap?

Correct answer: A) A stop-loss order

Stop-loss orders (Lesson 6) can be set to limit a trade's loss to the pre-decided risk amount.

213. What is the main lesson from LTCM's near-collapse, per this lesson?

Correct answer: B) Being right about analysis isn't enough if position sizing is wrong

Even sound analysis can fail catastrophically if the position size exposes too much capital to a single bad stretch. 43. Trading Psychology: Fear, Greed & Discipline

LESSON 43 — Trading Psychology: Fear, Greed & Discipline

214. What is India VIX?

Correct answer: B) An index measuring the market's expected near-term volatility, nicknamed the 'fear gauge'

Launched by NSE in 2008, India VIX quantifies collective market fear and uncertainty.

215. What tends to happen to India VIX during periods of market panic?

Correct answer: B) It tends to spike sharply

Rising fear and uncertainty during panics is exactly what pushes this volatility-expectation index higher.

216. Which of these is a common trading cost of 'greed'?

Correct answer: B) Holding a winning position too long, chasing an even bigger gain, and giving back profits

Greed often shows up as overstaying a winning trade past its logical exit point.

217. What does genuine trading discipline look like in practice, according to the lesson?

Correct answer: B) A written plan (entry, exit, stop-loss, position size) decided calmly in advance and then followed

Discipline means pre-deciding key trade parameters before emotions can interfere, then sticking to that plan.

218. What is the lesson's overall message about fear and greed?

Correct answer: B) They are universal and measurable — the goal is a disciplined plan that overrides them, not eliminating them

Even the whole market visibly experiences fear and greed (as India VIX shows) — discipline, not elimination, is the realistic goal. 44. Behavioral Biases That Hurt Traders

LESSON 44 — Behavioral Biases That Hurt Traders

219. What is 'loss aversion'?

Correct answer: B) Feeling the pain of a loss more intensely than the pleasure of an equivalent gain

Kahneman and Tversky's research found this asymmetry strongly influences investor behaviour, like holding losers too long.

220. Who won a Nobel Prize partly for research underlying loss aversion and prospect theory?

Correct answer: A) Daniel Kahneman

Kahneman received the 2002 Nobel Memorial Prize in Economic Sciences for this behavioural decision-making research.

221. What is 'confirmation bias'?

Correct answer: B) Seeking out only information that supports a position you already hold

This bias leads investors to ignore evidence that contradicts their existing beliefs about a trade.

222. Which earlier lesson's WhatsApp-tip example illustrates 'herd mentality'?

Correct answer: B) Lesson 12

Common Beginner Mistakes (Lesson 12) described trading on tips and following the crowd, a clear herd-mentality example.

223. According to the lesson, what is often the first step to overcoming these biases?

Correct answer: B) Simply recognising and naming the bias as it happens

Awareness of a specific, well-documented bias is often what allows a trader to catch themselves before acting on it. 45. Using Your Trading Journal to Spot Patterns

LESSON 45 — Using Your Trading Journal to Spot Patterns

224. What did Meera discover by rereading months of her trading journal?

Correct answer: B) Nearly all her losing trades happened on rushed Friday afternoons

This pattern was only visible by reviewing many entries together, not from any single trade.

225. What part of a trading journal entry does the lesson say most beginners skip, despite it being the most revealing?

Correct answer: B) How they felt emotionally going into the trade

Emotional context often reveals the real behavioural pattern behind a trading mistake.

226. How often does the lesson suggest reviewing a trading journal for patterns?

Correct answer: B) Periodically, such as monthly

Regular review is what allows recurring patterns to surface and be addressed.

227. What is the main value of a trading journal, according to the lesson?

Correct answer: B) It reveals patterns in your own behaviour that aren't visible from any single trade

The journal's power comes from reviewing many entries together, surfacing patterns invisible in the moment.

228. Which earlier lesson's rule did the lesson suggest checking your journal against (e.g., 'ignoring it more often than you'd like')?

Correct answer: A) Lesson 6's stop-loss rule

Checking whether you've been ignoring your own stop-loss discipline is a specific, useful pattern to look for. 46. Sector Deep-Dive: Banking & Financials

LESSON 46 — Sector Deep-Dive: Banking & Financials

229. What is a key difference between a Bank and an NBFC?

Correct answer: B) Banks can take public deposits; NBFCs generally cannot

This is a core regulatory distinction between the two types of financial institutions, as seen with IL&FS in Lesson 16.

230. What is considered the single biggest banking-specific risk, per the lesson?

Correct answer: B) Asset quality — bad loans (NPAs)

NPAs directly hit a bank's profitability and capital, as illustrated by Lesson 20's PSU bank example.

231. How do interest rate changes typically affect banking stocks?

Correct answer: B) They directly affect a bank's lending margins

Banks earn a spread between what they pay depositors and charge borrowers, which rate changes directly influence.

232. What are Small Finance Banks, according to the lesson?

Correct answer: B) A newer bank category focused on underserved segments like small businesses and rural borrowers

They represent a distinct, more recently created category within India's banking system.

233. Why does the lesson call banking a sector where multiple course concepts 'meet'?

Correct answer: B) It's highly sensitive to rates, NPAs, and credit growth — combining fundamental analysis and macro forces from earlier lessons

Banking sits at the intersection of company-specific fundamentals and broad macroeconomic forces covered throughout the course. 47. Sector Deep-Dive: IT & Pharma

LESSON 47 — Sector Deep-Dive: IT & Pharma

234. How does a weaker rupee generally affect Indian IT company margins?

Correct answer: B) It generally helps their margins, since they earn largely in foreign currency but pay costs in rupees

Foreign currency revenue converts to more rupees when the rupee weakens, boosting reported margins.

235. Why is India sometimes called the 'pharmacy of the world'?

Correct answer: B) It supplies a very large share of the world's generic medicines

India's generic drug manufacturing and export scale has earned it this widely used nickname.

236. What can significantly move an Indian pharma stock, largely independent of its overall business quality?

Correct answer: B) A single US FDA inspection finding at one manufacturing plant

Regulatory approval risk, especially from the US FDA, is a distinct and significant risk factor for pharma exporters.

237. What sector-specific risk factor is most emphasized for IT companies in this lesson?

Correct answer: B) Currency (rupee) movement

IT companies' dollar-heavy revenue makes currency fluctuation a defining sector-specific risk.

238. What is the broader point of doing a 'sector deep-dive' like this, according to the lesson?

Correct answer: B) It deepens fundamental analysis beyond generic ratios by understanding sector-specific risk factors

Understanding what specifically drives each sector adds a layer of insight beyond one-size-fits-all ratios.

LESSON 48 — How Global Markets Affect Indian Stocks

239. What is GIFT Nifty used for, according to the lesson?

Correct answer: B) Giving an early signal of how the Nifty is likely to open, based on overnight global cues

It trades with extended hours, capturing overnight global market moves before NSE and BSE open.

240. Why do crude oil prices matter significantly for Indian markets?

Correct answer: B) India imports most of its oil, affecting inflation, the rupee, and company costs broadly

As a major oil importer, India's economy is broadly sensitive to crude oil price swings.

241. How do US Federal Reserve decisions typically affect Indian markets?

Correct answer: B) They influence global interest rate expectations and FII money flows into or out of India

Fed decisions shape global capital flows, which directly affect FII investment into Indian markets.

242. What was GIFT Nifty formerly known as?

Correct answer: B) SGX Nifty

It was previously traded on the Singapore Exchange before relocating to GIFT City.

243. What is the key takeaway about global markets and Indian stocks?

Correct answer: B) No market operates in isolation — checking global cues each morning is a useful habit alongside personal research

GIFT Nifty's overnight sensitivity is real, practical proof of how interconnected markets have become.

LESSON 49 — Backtesting a Strategy with Historical Data

244. What does 'backtesting' mean?

Correct answer: B) Applying a trading rule to historical data to see how it would have performed

Backtesting evaluates a strategy's historical performance before risking real capital.

245. What is 'overfitting' in the context of backtesting?

Correct answer: B) Tuning a strategy so precisely to past data that it fails on new, unseen data

An overfitted strategy has essentially memorised history rather than found a genuinely repeatable edge.

246. What is 'survivorship bias' in backtesting?

Correct answer: A) Testing only on companies that still exist today, ignoring those that failed

This quietly flatters backtest results by excluding companies that went bankrupt or were delisted.

247. What is the app's Paper Trading simulator specifically useful for, according to this lesson?

Correct answer: B) Testing an idea's discipline and behaviour across historical conditions, risk-free

It uses real historical data, letting you test strategies without any real financial risk.

248. What is the correct way to treat a great backtest result, per the lesson?

Correct answer: B) As one serious input worth further investigation, not a guarantee

Given overfitting and survivorship bias risks, a strong backtest deserves scrutiny, not blind confidence. 50. Capstone: Your Own Analysis Framework

LESSON 50 — Capstone: Your Own Analysis Framework

249. A share represents:

Correct answer: B) Real partial ownership in a company

This foundational idea from Lesson 1 underlies everything else in the course.

250. The P/E ratio helps answer:

Correct answer: B) How much you're paying for each rupee of a company's profit

P/E (Lesson 19) is a core valuation starting point.

251. A Golden Cross refers to:

Correct answer: A) A shorter-term moving average crossing above a longer-term one

This is a widely-watched bullish technical signal from Lesson 27.

252. According to SEBI's own data cited in this course, most individual F&O traders:

Correct answer: B) Lost money overall

This real finding (Lessons 12 and 40) underscores the risk of frequent, undisciplined derivatives trading.

253. The key difference between an Option and a Futures contract is:

Correct answer: B) Options give a right without obligation; Futures obligate both parties

This distinction (Lessons 40-41) is central to understanding derivative risk.

254. Position sizing is best described as:

Correct answer: B) Deciding how much capital to risk on a single trade

LTCM's 1998 near-collapse (Lesson 42) showed why this discipline matters as much as analysis itself.

255. Loss aversion is the tendency to:

Correct answer: B) Feel losses more intensely than equivalent gains

This Nobel-Prize-backed bias (Lesson 44) explains why investors often hold losers too long.

256. A trading journal's real value comes from:

Correct answer: B) Patterns visible only when reviewing many entries together over time

Meera's Friday-afternoon discovery (Lesson 45) only emerged from reviewing months of entries together.

257. GIFT Nifty is primarily used to:

Correct answer: B) Signal how the Nifty is likely to open, based on overnight global cues

It reflects overnight global market moves before Indian exchanges open (Lesson 48).

258. A backtest showing excellent historical results should be treated as:

Correct answer: B) One serious input worth further scrutiny, given risks like overfitting and survivorship bias

Backtesting (Lesson 49) is valuable but has real, well-documented limitations.